

Housing & Urban Development Corporation Ltd. (HUDCO)

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Sub: Transcript of Investors' Audio Conference Call held on 27th May, 2024.

Sir/ Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith, transcript of Investors' Audio Conference Call of the management of HUDCO with Investors/ Analysts held on 27th May, 2024. The same shall also be available on the website of the Company i.e. www.hudco.org.in .

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“Housing and Urban Development Corporation Limited

Q4 FY24 Earnings Conference Call”

May 27, 2024

MANAGEMENT : MR. SANJAY KULSHRESTHA – CHAIRMAN &

MANAGING DIRECTOR – HOUSING AND URBAN

DEVELOPMENT CORPORATION LIMITED

M R. D. GUHAN – DIRECTOR FINANCE – HOUSING &

URBAN DEVELOPMENT CORPORATION LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS

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Housing and Urban Development Corporation Limited.

May 27, 2024

Moderator: Ladies and gentlemen, good day and welcome to the HUDCO Q4 FY '24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited. Thank you and over to you, sir.

Sanket Chheda: Yes, hi. Very good afternoon to all of you. Today, we have with us the management team of HUDCO to discuss their Q4 results and the strategy forward. From the management, we have Mr. Sanjay Kulshrestha, who is a CMD and Mr. D. Guhan, who is a Director of Finance. Without further ado, I'll hand the call over to Mr. Sanjay for his opening remarks. We'll follow that up with questions and answers. Over to you, sir.

Sanjay Kulshrestha: Yes, good afternoon and thank you for arranging this call, Sanket. This is Sanjay Kulshrestha. I am Chairman and Managing Director. So, let me start with the starting notes. Our results are out on the 24th of this month and we had achieved a lot of milestones during the last financial year, starting from the sanctions, which is the financial commitment which has been extended by the company. They had been raised by around 235%.

Last year, it was around INR24,500 and we achieved more than INR82,000 crores. Similarly, in the disbursement also, the results are very remarkable. On a year-to-year basis, we had grown by 112%. During the last financial year, it was around 8,000 something crores and now we have touched 18,000 crores. On quarter-to-quarter basis also, we had achieved an enhancement of 155%. On the same lines and as a result, our loan book has raised from INR80,000 crores to INR92,000 crores, which is a spike of 15%.

If you see the borrowing side also, we had raised around 22,000 crores and for this incremental cost, we had been able to reduce our cost of fund from 7.46 to 7.1, so there is a saving of around 36 basis points. For this financial year also, we have a borrowing plan of around INR35,000 crores. Continuously, we are making all-out efforts to reduce the cost of funds so that the yields can be improved, the spreads can be improved and NIM can be improved.

If you see, our return on equity has been increased from around 11% to more than 12%, so we are working on the return on equity as well. We have a very judicious kind of mix, which has resulted in cutting down our cost of funds. We had raised through some money from the FCNR, we had gone for the first time in recent past to the Japanese market and we had borrowed around 100 million last year.

Initially, the issue was for the 100 million only, but as a result and recognition from the international market, we had been able to get around 200 million, so next trends will be coming within a day or two. This was also well taken by the international market. So now, for this financial year, we are planning to have around 1 billion external commercial borrowing, maybe Housing and Urban Development Corporation Limited.

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in the terms of loan or maybe in the terms of bonds, preferably from the Japanese market till the time dollars start softening up.

If you see our financial parameters, we have very, very strong financial parameters starting from the debt equity ratio to CRAR. We have a debt equity of around 4% and the CRAR stands at around 60%. So revenue from the operation, after doing everything, starting from the cutting down cost of funds, leveraging our business and resolving the stress assets, our revenue from operation has been raised by around more than 10%. So n

ow it stands at Rs. 7,784 crore. So this

is also a good sign, and we have a fairly good pipeline for future, since we had committed around INR82,000 crores. So we have a committed pipeline of around INR80,000 plus crores, which will be disbursed in two to three years of the time.

The profits are also good, which have increased from INR1,700 crores in FY 2023 to more than INR2,100 crores and we have registered a growth of around 24%. So on quarter-to-quarter basis also, our profits has increased by 35%. Apparently, we have worked in resolving our stress assets also and I'm happy to inform to the fraternity that our Gross NPA has reduced from 3.42% to 2.71% and our net NPA is one of the best in the industry.

Now it stands at 0.36%. So this year, we are taking as a task to resolve most of these assets and around INR1,400 crores are into the process of NCLT, and we are hopeful that most of these assets would get resolved. So other than the NPA, we have a strong focus on timely repayments and as a part of that, we had reduced our Stage 2 also. Earlier year, it was 6.26%. Now the collection efficiency has improved and now it stands at 4.4%.

Our NIMs are also stable in the range of 3.1% to 3.3%. Our spreads are also very, very stable in the range of around 1.7%, 1.8%. We had raised our dividend bar from 38.5% to 41.5%. Business

pipeline is very, very strong looking at the infrastructural planning and growth of the country and the commitment from the state government, commitment from the central government, government of India. Lots of lots of programs are there, starting from AMRUT City, Smart City, Swachh Bharat Mission, Roads or Multimodal Corridor, or Industrial Corridor, New Town Planning, or Mobility Infrastructure, or Power or Energy.

So, all these things will provide a good opportunity for a company like HUDCO, which doesn't have any restriction to fund in any of the sectors, because these are all the sectors which are covered under the harmonized list. And our strategy for raising of the funds will be very similar that we had started last year. ECBs, multilateral loan, domestic financing, and government of India support.

We are requesting some support from the government of India to extend some viable kind of funding to the metro project or for Swachh Bharat Mission. We had also strengthened our internal cost control measures regarding the asset liability management, or the provisioning, or the deployment of high quality liquid assets. Then we are very hopeful that the ecosystem of the economy will be very, very strong.

And if I can quote the example, you can see that RBI has raised the dividends, then our forex reserves are also increasing, then the deficit is continuously decreasing, government has in the Housing and Urban Development Corporation Limited.

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budget given a figure of 5.1%, but it's expected that it will be much below than 5.1%. The inflation is very much in control, and because of the robust policies and the clear plan, infrastructure development presents a significant opportunity for the NBFCs like HUDCO. And there is a supportive tailwind, and a concentrated effort from across the states, all the states, driven by a favorable macro-economic condition, are fostering growth and development opportunities. Thank you.

Moderator: Thank you. Sir, should we open the floor for questions?

Sanjay Kulshrestha: Sure.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shoumik Ganguly from Aditya Birla. Please go ahead.

Shoumik Ganguly: Hello.

Moderator: Yes, sir. We can hear you, sir. May I request that you use your handset, please?

Shoumik Ganguly: Yes. I'm using my handset. Am I audible?

Sanjay Kulshrestha: Yes, yes.

Shoumik Ganguly: Sir, what would be the sustainable growth next year, or for next year, coming years?

Sanjay Kulshrestha: So, I will be very direct i

n answering this question. For next financial year, starting from this financial year, we had set a target that our loan book should be around INR1.5 lakh crores. And according to that, we had planned the projects and the disbursement on a yearly basis. For this financial year, it will be in the range of INR32,000 crores to INR35,000 crores of the disbursement. And for next financial year, it will be around INR40,000 to INR45,000 crores. So, keeping the repayments in mind, repayments will be of the tune of around INR16,000 crores, that is INR8,000 crores per annum. So, we will be comfortably reaching the figures between INR145 to INR150 lakh crores of the loan.

Shoumik Ganguly: Okay, sir. So, my next question would be -- are there any capex plans for the coming years?

Management: See, we basically do the lending part of it. As already told by sir, during the financial year '24 ended, we have a sanction of INR82,000 crores. So, that will be translating into the disbursal.

We directly don't take any capex. Basically, we do a lending for the state government entities who do the capex in the form of infrastructure and housing projects.

Shoumik Ganguly: Yes, sir. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Arman from Blue Sky Capital. Please go ahead.

Arman: Yes. First of all, a good set of numbers, just for numbers, because in like last four years from FY'19 to FY'23, our loan assets grew just around INR8,000 crores. Just in Q4, we have added that much. So, first of all, kudos for that. Now, my question is for the borrowing part. First of Housing and Urban Development Corporation Limited.

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all, our share of borrowings from banks overall rose from 3% in FY'22 to now around 41% in FY'24.

And overall, we are seeing a peak of rate cycle. Maybe second half, we'll see a decline in the rate cycle. So, could you tell us the bifurcation between your borrowings, fixed borrowings and floating borrowings, also in loan assets, fixed loans and floating loans?

Management: Yes. So, typically, the bank borrowings that we have -- they are actually linked to floating benchmarks. And there was a specified purpose to actually avail bank borrowings. I mean, as you've rightly said, we are expecting interest rate reversal going forward. And when that happens, all these floating rate benchmark loans will actually get reprised at a lower rate, which will further enable us to reduce our overall borrowing costs.

So, the bank borrowing component, which is approximately around INR25,000 crores to INR30,000 crores, that is the floating rate benchmark borrowings. Besides that, we have FCNR(B) loans, which are again linked to a floating benchmark. But since we've hedged those exposures, we aren't really exposed to any interest rate volatility on that particular front. Then we also have an ECB, which is linked to a floating benchmark, but it is linked to TONA. And since the Japan economy is largely in negative zone, we don't expect any interest volatility on that front also. The balance all liability is a fixed rate liability. So does that clarify your question?

Arman: Yes. And what about the loan part, the loan made like for urban infrastructure and for the housing, are they all fixed or what is the bifurcation over there?

Management: As far as our loan book is concerned of INR92,000 crores, approximately you can say it's in the ratio of currently 80% in the fixed and 20% would be in the floating. But in the fixed also, we do a lending with one-year fixed and three-year fixed. So majority of our, out of that 80% fixed one, you can say almost 90% -- 80% to 90% of that 80% would be in the one-year fixed lending. So they will also be reprised with that at the end of the one year. So the market fluctuation is captured through that part of it.

Arman: Okay. Thanks a lot. That's clarified. My second question is, if we see our differential between NIMs and s

pread, which has been regularly rising from FY'20 from 1.1% to nine months in FY'24, it rose to 1.56%. However, Q4 we have seen and thus we have seen in FY'24 a differential came down to 1.39%. So going forward, what differential we are seeing between NIMs and spread and what are the reasons behind that?

Sanjay Kulshrestha: So your question is very pertinent. Actually, our spread will be in the range of 1.6% to 1.8%. And for NIM, we will be working between 3.3%, around 3.3%, 3.4%. And we had started getting that kind of returns from the borrower. And I'm very hopeful that these are the labels which we will be easily maintaining.

Arman: Okay, so just to clarify once again, so by FY'26 ending, we are seeing our loan assets to reach around 1.45 lakh to 1.5 lakh and NIMs to be around 3.1 to 3.3 range. Is that understanding correct?

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Sanjay Kulshrestha: NIM may be slightly improved by the time in two years, because now we are starting new kind of business pipelines also which includes the bankable projects. So till now we are funding mostly to the state governments, which is backed by state government guarantee and the budgetary allocation. So now onwards, we are expanding our business into the bankable project. So I think by two years if you are talking, then no. Surely our NIMs and spreads will be much better than present value.

Arman: Okay, thanks a lot. I'll get back into queue.

Moderator: Thank you. The next question is from the line of Ritika Dua from Bandhan. Please go ahead.

Ritika Dua: Yes, thank you. So maybe first, if I could just follow up on the last comment that you made. What do you exactly mean by bankable project? You were just referring to some of the previous question where you said that the spreads are actually going to improve in the next two years, because you're to start lending to certain bankable projects. So I was referring to, if you could explain what does that mean?

Sanjay Kulshrestha: Yes, actually there are -- since we are only restricting ourselves to the state governments and state government entities, the definition of the bankable project starts from the power side, where the cash flows are insured by the regulated framework. Then we are also working towards how that PPP models can be worked out and we can start funding towards that PPP model, maybe in case of road or maybe in case of say smart metering, where there is a regulated or assured kind of repayment, which will be available through NSAI or the distribution companies. Then we are also working with the transport corporations, which have good profits so that the cash flow will be responsible for our repayment. So basically, these are kind of bankable projects, which I was referring to.

Ritika Dua: Thank you, sir. And sir just to clarify, so you will still be lending to government entities only, it's just that you are broadening the ambit beyond urban infrastructure?

Sanjay Kulshrestha: I think your question for short term, yes, I agree that we will be restricting ourselves to the government companies and state governments. But maybe in the midterm planning, we are starting because now we are in a preparation mode to increase our capacity and the capability,

the rules and the regulations. So I think that work is in progress. I cannot quote any timeline to start the private sector business.

But wherein the assured cash flows are there, where the regulations are defined, definitely we are working that this kind of business model can be evolved within HUDCO. But timelines, I'm not promising any timeline. It will take some time.

Ritika Dua: Sure, sir. Sir, my second question is actually the sanctioned pipeline that you've shared in your presentation. If you could give some colour as to which sectors do they -- and are these sanctions being awarded to? And also maybe some more colour about the sizes of the projects t

hat we are

looking to sanction, so maybe if you would say that of this INR80,000-odd crores, if I'm not wrong, is the sanction number, maybe how many projects are there, which sectors are there, just trying to also understand the average size of the projects that we are looking to sanction, or are they already sanctioned?

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Sanjay Kulshrestha: Basically, I will tell you the three, four broad categories where we are extending our loans. One is the road sector. We are very, very clear that wherever the state government components are in the road sector we are funding, it may be ring roads, or it may be multi-modal corridors.

Then there are some industrial corridors also, industrial corridors or town planning, so all these things we are funding. We are also funding the affordable housing schemes of the states, because states are coming out with their own affordable housing schemes, so we are partnering with the states. We are also extending our debt to the Jal Jeevan Mission that is a counterpart funding. In some of the health projects also we have a very good amount of exposure and we have sanctioned these kind of loans.

And for future, as you were asking, that our main emphasis will be on the metro side since it is under our administrative ministry so we will be focusing on the metro projects then Jal Jeevan Mission projects, then upgradation of the highways in the state, then infrastructure schemes of the respective state government. We are also open to work with the power sector companies for generation plants or distribution infrastructure improvement.

Then we are also working with some of the states to construct their quarters or secretariats or buildings, multi-storied buildings and all these things. And I think pipeline is not a problem and we have already committed amount of around INR85,000 crores. So pipeline is not an issue and for this year also we have a very discreet pipelines with the identified projects, with the identified states and I am sure that we will be sanctioning within this financial year a good lot of pipelines.

Ritika Dua: So second question is on the Maharatna status. So just one clarification that I wanted to seek. So obviously there is another [inaudible 22:38] NBFC which had put up a release saying that to achieve the Maharatna status they would be arriving at a particular loan book number by the end of FY30.

And if I am not wrong, sir, I probably have read some of your interviews or somewhere wherein even HUDCO also looks to achieve the Maharatna status. So my question here is, sir, that apart from the growth target, are there any other targets which also maybe the GOI looks to before awarding you the status?

Management: For achieving the Maharatna status the criteria is our network should be INR15,000 crores for last, I mean, consecutively for 3 years and Turnover should be INR 25,000 crore. So we are targeting an AUM of around INR5 lakh crores by another 5 years, sorry, INR3 lakh crores by another 5 years. So that we will be achieving at Maharatna status.

Ritika Dua: So INR3 lakh crores in the next 5 years?

Sanjay Kulshrestha: No, By 2030.

Ritika Dua: Aren't there any criteria on profitability which are also shared that as to certain amount of ROA and ROE which also should be achieved, or which is a part to achieve this status or it's largely an AUM target is what I understood.

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Sanjay Kulshrestha: Yes, I would just like to supplement what Mr. Babu was telling. See, recently we had been conferred with the Navratna. This is one of the most prestigious status which is awarded by the Government of India recognizing the past records and the past numbers. So we had already achieved those numbers and on the basis of that Government of India has awarded us with the Navratna category a

nd only 20 PSUs are there out of 256 operating PSUs that are in the category of the Navratna. So this is number one. The second part of your question is Maharatna. So I think there is some way to go and a lot of things have to be done, but yes we had started planning for that, but it will take some time before the turnover of 25,000 crores, the net worth of more than INR 15,000 crore that we had already achieved and the INR5000 crores profit per year is achieved.

So all these things has to be seen in that respect only. So we are not in a hurry to become Maharatna maybe it may take some 5 years, 7 years' time to become the Maharatna. So whenever we will be achieving those parameters, we will go to the government with a request to give us that status.

Ritika Dua: Sure, sir. And sir, maybe just last two more questions if I am allowed. Sir, you just mentioned in your opening remarks that you are actually looking to even approach the central government to provide certain liability support. I hope I heard it correctly for certain big projects that you were mentioning, that you also look to seek the government support for certain liabilities. So does this then get clubbed under the EBR?

If that is what to be understood and whenever these projects are maybe they get a liability support from the central government, do they then necessarily come at a lower spread that means when you look to maybe raise this money from the government and then onlend to the respective entity, do they then necessarily come at a lower spread not come at a lower spread, sorry. I mean you have to necessarily lend at a lower spread?

Sanjay Kulshrestha: I think when I was referring to the government of India support. So the background is that the company is owned by government of India 75% of the stakes in HUDCO is owned by the government of India. So it's a government of India company and this is one of the company or one of the NBFC wherein the Government of India is holding more than 51%. So because of the strategic reason government has not divested beyond this.

So second part is that what kind of help or assistance or the rebates we are trying to get from the government. Actually this is all mutual. We had requested to extend 54 EC support or facility to issue the capital gain bonds to HUDCO because HUDCO is in the housing category. So these proceeds are coming out of the housing sales. So this is one of the requests. So maybe government may consider, or government may invite us to revise our request, but the gist or the substance of the discussion is that a lot of capital expenditures are being planned. So at the rate of say 9% or 10% some of the infrastructure may not be viable or sustainable.

So, we are since working under the administrative ministry of housing and urban affairs which takes care of the AMRUT, smart city, Swachh Bharat Mission or metros so to be competitive, a cheaper kind of component is required. In some of the cases like in MNRE government has come Housing and Urban Development Corporation Limited.

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out with some viability gap funding or some subsidy in the interest rate like in CLSS government is extending some subsidies in the interest rate. So on these lines we are discussing with the government, and we have not sent any formal proposal as of now.

We are discussing that how HUDCO like company can work in tandem with the government and extend a very competitive or cheaper funding to like metro because metro funding is mostly coming from the JICA. But the metro plan of government of India is very, very upscale. So, all these things are being discussed. So, I am very hopeful that because of this strategic organization in the eye of government of India, we will find something so that these things will be taken forward.

Hrithika Dua: Sure. Sir, one more last and then I'll come back in the queue for more. So, on this one INR20,000-odd crores disbursement

which you had done I think under PMAY Yojana which came at a lower spread. What is the status of that outstanding today and just maybe as an investor how does one take a view that maybe in the future -- we would not be really doing any more projects which actually come at such a low spread.

Because currently obviously even in your presentation you had clearly given your spread actually with EBR is I think about 2.3 and without EVR is about 1.8. So, I'm obviously assuming that obviously that is because of that lower spread lending that we had done during COVID. So, the two questions are how much is the outstanding today.

And secondly is that how do we actually maybe make a view that in the future the spreads are not going to be impacted because we actually lending to schemes which actually come at much lower spread. Thank you sir. I'll come back in the queue.

Management: No, the outstanding continues to be the same INR20,000 crores which we have raised as an EBR for Government of India for PMAY and that will be actually get liquidated in I think '2028-29 as one bullet payment. So, that will continue till it redeems in 2028-29 and you have seen the news articles that government has stopped this further EBR requirement concept I mean in PMAY or in any of the sector except for the NABARD agricultural sector.

So, we don't expect any more of those EBR to be coming into our books. So only the current year INR20,000 crores which is there still that will only be continuing at that lower spread of 40 basis points.

Hrithika Dua: Thank you sir. I'll come back in the queue. I have no question.

Moderator: Thank you. The next question is from the line of Nilesh Jethani from Bank of India Mutual Funds. Please go ahead.

Nilesh Jethani: Hi good evening sir and thanks for the opportunity. My first question was on this infra loans what we have sanctioned of around INR82,000 crores in FY'24. Sorry I'm new to the company.

So can you just help me understand what are the sector segment where the sanction is. I heard on the call that Metro is one of the segment where we have done a lot of activity. We want to understand the color or a mix of this INR82,000 crores sanction amount.

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And going forward how one should look at this sanctions getting converted into actual disbursements. And what sectors it is expected to be.

Sanjay Kulshrestha: Right. So, starting from the road I had answered this question earlier also. So, I will repeat for your update. I think road projects we are funding including the expressway multimodal corridors or linking roads. Then we are also -- funded the transport sector, takes care of state highways, state roadways then social infrastructure of the affordable housing then some of the commercial infrastructure we had also funded. Then we had also funded power and energy side.

Then we had worked with work around the IT parks then the township development then Metro the secretariat buildings, water supply. So, all these things we had funded out of this INR80,000 crores.

Nilesh Jethani: Okay got it. And is it right to say whether metros and road would be the larger part of this INR82,000 crores or it is very well diversified across the eight nine larger sectors which you just mentioned.

Sanjay Kulshrestha: It is very well diversified. It is across the sector. So, across the state. It is very well diversified.

Nilesh Jethani: Got it. Got it. And just wanted to understand this --

Sanjay Kulshrestha: Slightly louder please --

Moderator: Use your handset sir. You're not audible, sir.

Nilesh Jethani: Okay. Just a second. I'm audible now.

Moderator: Yes sir. Please go ahead.

Nilesh Jethani: And the second question was on the conversion of the sanctions into actual disbursement. So, we have reached a very healthy disbursement number of around INR18,000 crores and we are talking about INR35,000 crores pro

bably in FY'25 and going ahead. So, wanted to understand out of the INR82,000 crores which are the segments which you think are near term triggers which can be converted into disbursements?

And from a longer term perspective say from a three to five year perspective. Just wanted to understand our vote with regards to other banks or say other power finances where we are so confident of driving a higher share of disbursement into say something like power or a metro sector. So, can you also help me understand one two USPs or modes which HUDCO carries which will help us to garner that share going forward.

Sanjay Kulshrestha: Yes I think the most of the part will come from the road sector then the water sector then the affordable housing, then the power and energy side. And then balance will come from say IT parks or buildings or yes metro will also stand at around third or fourth in the number.

Nilesh Jethani: Okay and how to look at this number say 35,000 next year and going forward.

Moderator: Sir your audio has become low again sir.

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Nilesh Jethani: Yes and how to look at this number going forward say 35,000 in FY'25 but on a longer term perspective say from FY'26-FY'27 how to look at this number?

Sanjay Kulshrestha: I think if you see 35,000 is very, very kind of pessimistic or very, very conservative type of figure looking at the pipeline and because most of the projects we are financing have a moratorium of starting from the six months to three years only. So 35,000 is very well achievable and we are trying that most of the part of this 35,000 will come in the quarter one and quarter two only. So that is the emphasis that we as a company is making so that the income can come in the current financial year and as per the guidance you are asking about 27-28.

So basically we want to initially work at the CAGR of 26%-27% and rest at around between 20% to 22%. So up to 2030 the way the infrastructure is being planned and the commitment of

the state government in line with the policies of the government of India we are very hopeful that we will be achieving these kind of figures and by 2030 we want our loan book to be around INR3 lakh crores. So we will be working and planning our disbursement in line with that objective.

Nilesh Jethani: Got it sir. And one last question from my side would be on the recovery. So seven accounts in the NCLT so what can be the timeline for the recovery any perspective if you can add on the same?

Sanjay Kulshrestha: Our gross NPA has been reduced to 2.71% from 3.4% and our net NPA is one of the best in the industry it stands at 0.36. So going beyond these numbers you will appreciate it will take hard measures and committed effort and the support of the judiciary or legal framework from the NCLT side. Around INR1400 crores assets are under the NCLT system out of which around INR800 crores are in advanced phase of resolution.

So I will see this year as a year of resolutions and because this INR1400 crores may be resolved maybe part of this maybe 60% to 70 % part of this will be resolved during this financial year.

Parallely we are working on the balance part of around INR800 crores also. So we had identified around INR250 crores of the project which can be resolved, and we are trying to work out that thing. But I am sure that within two years of the time we will be able to resolve all these.

Nilesh Jethani: Got it sir. That was very helpful and thank you so much.

Moderator: Thank you. The next question is from the line of Karan from PM Securities. Please go ahead.

Karan: Hi this is Karan. Evening Kulshrestha ji and Guhan ji It's been wonderful tracking HUDCO over the last few years and especially from the time that Kulshrestha ji has joined you know it's really good to see clear targets being set and the execution taking place in disbursements and in sanctions. So my q

uestion is you know since HUDCO is one of the unique entities where generally in NBFCs dilution is something that is an ongoing you know norm of the business. But here since most of the lending is to the state government we have risk weights which are you know quite low, and it does not require us to I mean our capital adequacy requirement is also quite low. So for our understanding right now we stand at INR90,000 crores of loan book. Until what level of -- until what size do we not foresee any dilution if you could you know throw Housing and Urban Development Corporation Limited.

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some light on that given that currently in the near term we are planning state government lending only what would be a safe loan book number to assume until which we don't need any dilution?

Sanjay Kulshrestha: I think we will not be needing any dilution if you are talking about the capital infusion, right?

Karan: Yes.

Sanjay Kulshrestha: I think you can say otherwise that we should be more capitalized till now. So in other terms we should be able to extend more loans. So we are into a very healthy state with these kind of numbers and since you can see our debt equity is around 4 as per the regulation advice we can go up to 8, 9 comfortably.

Most of the entities are in the level of 7, 8. So I don't think any capital infusion will be required and business model is very, very robust and there is no new NPA from last six quarters -- six seven quarters we don't have any new NPA. So we are very, very diligent that there should not be any new NPA at the same time we are diligent there should not be any delay means we don't want any accounts to come into the Stage-2. In fact, we had reduced our Stge-2 amount from last year INR5000 crores to INR4000 crores.

So this is one of the most priority area that the company officers are working and since we are operating from 21 Regional offices across the country and we have a very good rapport with the state government and their functionalities so we are not only able to reach out to them for business but also to ensure that our repayments should come on time. So I don't think any capital infusion in near future maybe up to 2030 will be required in the company.

Karan: So sir if you see with this thought process so what it entails is that until the loan book grows two times two and a half times three times from here maybe since we don't require in any dilution our current ROEs which are at around 12% odd essentially with the same equity we would be generating 2x 3x 4x returns so ROEs could be 2x 3x in terms of percentage from what they are.

So in that case HUDCO is a hidden gem for ROEs.

At the same time could we also assume that credit costs can be expected to stay as they are since you said that you know NPAs are very much under control and if they stay the same given the numbers that you are saying in terms of loan book one and a INR1.5 lakh crores or INR3 lakh crores in five years it turns out to be around INR5000 crores of PAT or INR10,000-odd thousand crores of PAT in five years that's the kind of ROE if that's something that we are you know foreseeing then I think the market needs to realize that there is something really big happening at HUDCO.

Sanjay Kulshrestha: I think there shall be an organic growth and the statements we made I hope you completely agree

with that.

Karan: And sir one more thing in terms of the NIP the National Infrastructure Pipeline identifies HUDCO as one of the nodal agencies in the lending, in the borrowing plans of the government. So over there I just have gone through the NIP document, and it so seems that the numbers that they say are quite large I mean to the tune about INR10 lakh-INR15 lakh crores is sort of addressable every year where HUDCO can be a potential lender. So the market being so big do Housing and Urban Development Corporation Limited.
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we assume th

at the number that you are saying since you also said that INR30,000 crores, INR35,000 crores is something on the pessimistic side.

So what is if you were to not bind your word would you say that the possibility is much higher than what you are saying and do you have some sort of blue-sky scenarios that you can that you would internally be trying to achieve beyond what you are already committing?

Sanjay Kulshrestha: I think going from INR18,000 crores to INR35,000 crores is it's a good achievement for the company because whenever you will go for the appraisal, due diligence, disbursements, monitoring so entire ecosystem has to be generalized so that there should not be any new NPA.

So we will be very cautious in terms of the monitoring of the accounts and also the concurrence of the regulations and the risk mitigation measure. So I think this is a good figure to achieve.

We will not like to go beyond these kinds of numbers and inviting any risk kind of thing. So we are comfortable with this number.

Karan: Okay, all right. Thanks lot Kulshrestha ji, Guhan ji and the entire team. Great seeing progress. Thank you.

Moderator: Thank you. The next question is from the line of Ritika Dua from Bandhan. Please go ahead.

Ritika Dua: Yes, so thank you for the follow-up. Just two more questions. The sequential drop in capital adequacy is it largely because of the growth that we saw and so our risk weight to asset ratio hasn't changed, right? That's the first question.

D. Guhan: Yes, you're right. Ritika, I think it's now 57% capital adequacy.

Ritika Dua: Sure, sir. So because it came up from I think some upwards of 73 something to 57. So I just thought of checking, is it largely growth and our risk weights haven't really changed on a sequential?

Sanjay Kulshrestha: Yes, it is largely coming since we are not emphasizing on only government guarantee loans which have a weighted average of weightage of 20%. Now we are going towards the companies which have good cash flows and projects are backed by cash flows. Like I had talked about the transportation or power sector or some optic fiber, Bankable projects. So there the risk weightage is higher because of that our CRAR has changed to this number.

Ritika Dua: If I could, if you could just share maybe once we obviously do it on the government entities, I think it would be what percentage and now that you have done also looking to increase the share of bankable projects how does the RWA ratio changes? From what percent to what percent?

D. Guhan: It will be around 20% to 25%. It will be in the cash flow based lending. The rest would be on the government guaranteed based lending.

Ritika Dua: Sure, sir. And the last question from my end is your views on the project financing regulation which came from RBI. That's it. Thank you.

D. Guhan: Ritika, can you repeat your question?

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Ritika Dua: Sir, I wanted to hear your views on the project financing the provisioning requirement norms which came from RBI, the draft regulation?

Sanjay Kulshrestha: Draft regulation, 5% draft regulation. Yes, I think very pertinent question, Ritika, you had asked, and I think with these provisioning guidelines or draft guidelines of RBI, I think HUDCO will be the beneficiary out of this thing. Because you see that in our loan book we have EBR and beneficiary led construction loans which are already, there is no moratorium in those kind of loans and government is servicing so it will not require any additional provisioning.

So our in construction loan portfolio is in the range of around INR10,00 crores to INR12,000 crores only. Since our loan book has not extended from last three, four years and this is the only financial year where we had reached out to the disbursement like that. So the effective provisioning if I agree that it will be only 5% and RBI will not be revising on the basi

s of the
feedback from the banks and the ministries.

Then also 5% of the INR10,000 crores comes to around INR500 crores and for three years it is INR133 crores per year. So it will not be a big impact, rather the lenders who have a big portfolio, big loan assets, they will be forced to hike their interest rate because of the provisioning requirement, and we will emerge as a beneficiary, and we will be able to extend competitive rates to the utilities.

So what I think the RBI measure which they had taken, I think it is in the best interest of the infrastructure lending companies because finally we have to see that whatever lending we are doing it should not be attracted with any kind of risk. So the provisioning is always good as a lender I can say. It may be 5% or 3% or whatever RBI suggests, we will be happy to do that kind of provisioning.

Ritika Dua: So, thank you for the patiently answer. I am done. Thank you.

Moderator: Thank you. Our next question is from the line of Arman from Blue Sky Capital, please go ahead.

Arman: Yes, just a clarification because I heard one of the interview of yours said that loan assets you are looking at by 2030 to reach at INR5 lakh crores. Is that the right? Because I heard before you said around INR3 lakh crores. So by FY'26 we are aiming to reach at INR1.5 lakh crores and by FY'2030 we are aiming for INR5 lakh crores. Is that the understanding correct, sir?

Sanjay Kulshrestha: INR3 lakh crores. Actually, the statement is this in current financial year plus next financial year. So by FY'26, we will be at the level of INR1.5 lakh crores and by 2030, INR3 lakh crores.

Arman: And my next question and that was last question, the bifurcation of our loan assets into other infrastructure and housing if we see then continuously other infrastructure as a share has been rising. So is there any difference in yield on loans in between the two or they are on the same path?

Sanjay Kulshrestha: Since the proportion of the housing or affordable housing is not so high, you may see our presentation, the percentage is very less. So even though it may be at the basic benchmark rate Housing and Urban Development Corporation Limited.

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of the HUDCO, it will not contribute in very large amount and spread and so most of the component is being extended towards the infrastructure.

Arman: Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Dhaval from DSP. Please go ahead.

Dhaval: Hi, sir. Thanks for the opportunity and congrats on good performance. Apologies, I joined the call a little late. I just had two questions. One is, we've seen one of your peers, [Irida 51:47], give a roadmap to become Maharatna, by FY'30. Does HUDCO have any such, broad thought process of reaching from Navratna to Maharatna status and, broad thought timeline if you have, thought about it? So that's the first question.

And second is just a data keeping question. Could you give the breakup of loans in the affordable housing, including NIWAS category between social and other sub-segments, and similarly for urban infrastructure? That would be very useful. Thank you.

Sanjay Kulshrestha: Yes, I think you're going to kind of say Maharatna, it may take some time, because there are specific parameters which needs to be achieved by a company. So I'm not so optimistic that we will be getting Maharatna within two years or three years of the time. But yes, definitely, in five years of the time, we can see that how the performance will come because profit has to come every year, it is INR5000 crores, then the net worth is more than INR15,000 crores, then turnover is INR25,000 crores.

So these are all analytical kind of parameters, there is no subjectivity in these kind of things.

And on the other side, I will also like to inform, we are still to absorb the category of Navratna, which is very prestigious achievement that as a compa

ny we had earned from the government

of India. So I'm not in hurry to not to enjoy this moment.

So it will take some time. But yes, this is work in progress. And finally, the numbers will decide regarding the Maharatna. So I will not like to comment that when we will be ready for Maharatna. But whenever the numbers are there, then it will be applied to the government of India. Your second question is regarding the affordable housing, and which includes the HUDCO NIWAS, also.

So not so much of sanctions are coming out of that. And in FY'23, it was INR3400-odd crores and in FY'24, it is around INR3900 crores, which is basically coming out of the state programs for affordable housing or any counterpart funding under the PMAY, which is required by the states. So it is a loan to the state government for their own programs or to support counterpart funding on the central government.

Dhaval: Sorry, I was more referring to the breakup of what is the size of social housing and residential real estate. Last year, that number was around INR42,200 crores for social housing. What that number has reached now? So I was just trying to get some granularity on the housing book between social, residential and others.

Management: Dhavalji, within the affordable housing space, 95% is almost like social housing.
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Dhaval: Okay, understood. Got it. And similarly, for urban infrastructure would be? So we had given water and roads and power and emerging sector last time. What would the numbers be?

Management: Predominantly, it is more of core infrastructure and social infrastructure. Within core, we will add water supply, sewerage, drainage, roads. And then slowly, the transport segment is also catching up.

Dhaval: Okay, so this year, the delta has come more in the water space?

Management: Road and water, road, water and transport sector.

Dhaval: Understood. Very useful. Great. Wish you all the very best and thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjay Kulshrestha: Yes. Thank you, Sanket, it was a good experience. And I hope that we will be able to come up to the requirement of the questions. And in case of any additional information, please come back to us. We'll be happy to share other information as well. And thank you for all your support that you are continuously providing, and it can be reflected in our pricing of the shares and the capitalization of the market.

So we are a company which will take care of all the stakeholders. We had announced our returns as a dividend. Now it is around 41.5%. So we will continue to work towards improving the bottom-line from all the measures and the required returns to the investors.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

HUDCO/List. Comp./SE/2024-25 29th January, 2025

Sub.: Transcript of Earnings' Conference Call held on 23rd January, 2025.

Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith, transcript of Earnings' Conference Call of the management of HUDCO with Investors/ Analysts held on 23rd January, 2025. The same shall also be available on the website of the Company i.e. www.hudco.org.in

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“Housing and Urban Development Corporation Limited

Q3 FY 25 Earnings Conference Call”

January 23, 2025

MANAGEMENT : M R. SANJAY KULSHRESTHA – CHAIRMAN & MANAGING DIRECTOR –
HOUSING & URBAN DEVELOPMENT CORPORATION LIMITED

M R. M. NAGARAJ – DIRECTOR (CORPORATE PLANNING) – HOUSING
& URBAN DEVELOPMENT CORPORATION LIMITED

M R. DALJEET SINGH KHATRI – DIRECTOR (FINANCE) AND CHIEF
FINANCIAL OFFICER – HOUSING & URBAN DEVELOPMENT
CORPORATION LIMITED

M R. LVS SUDHAKAR BABU – EXECUTIVE DIRECTOR (FINANCE) –
HOUSING & URBAN DEVELOPMENT CORPORATION LIMITED

M R. ACHAL GUPTA – GENERAL MANAGER (FINANCE) – HOUSING & URBAN DEVELOPMENT CORPORATION LIMITED

MODERATOR : M S. SHWETA DAPTARDAR – ELARA SECURITIES

Housing and Urban Development Corporation Limited
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Moderator: Ladies and gentlemen, Good Day, and welcome to the Housing and Urban Development Corporation Limited, HUDCO, Q3 FY 25 Earnings Conference Call hosted by Elara Securities. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shweta Daptardar from Elara Securities. Thank you, and over to you, ma'am.

Shweta Daptardar: Thank you, Sejal. Good morning, everyone. On behalf of Elara Securities, we welcome you all to Q3 FY '25 Earnings Conference Call of HUDCO. From the esteemed management, we have with us today, Shri Sanjay Kulshrestha, Chairman and Managing Director; Shri M. Nagaraj, Director (Corporate Planning); Shri Daljeet Singh Khatri, Director (Finance) and CFO; Shri LVS Sudhakar Babu, Executive Director (Finance); Shri Achal Gupta, General Manager (Finance). We express our gratitude towards the management of HUDCO to provide us the opportunity to host this conference call.

Without further ado, I now hand over the call to Mr. Sanjay Kulshrestha, CMD, for his opening remarks, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Kulshrestha: Good morning, I am Sanjay Kulshrestha, I'm CMD of HUDCO. Thank you so much for arranging this call, and I welcome all the participants on this call. So let me go to the background of the Company. HUDCO earlier, which was a housing finance company, has transited its positioning, and now we are an NBFC-IFC Company, and we are into the infrastructure financing. We are providing a holistic support for creation of the infrastructure, which is required for the Viksit Bharat, and which is in line with the policies of the Government of India.

This is not a sector-based financing institution. We are into multi-sector kind of financing industry. So starting from the housing to urban development. So if I talk about urban development, I think urban development takes care of the metro, mobility, roads, transports, water, sewage and everything which is required for the urban development. So we are financing that part of the thing.

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Then we had also revised our object clause and include the rural infrastructure as well. So it is a company, which provides a holistic support of financials. At the same time, we are also extending our consultancy services starting from the conceptualization of the project to the handholding of the utilities because we understand that the best practices have to be shared between the stakeholders, and India is a very diverse kind of country wherein the requirement of each state may vary from time to time.

And we are also having training institutes, and we welcome the participants from the stakeholders to which we are lending, which also includes -- there are some few foreign participants also we are inviting. So you can say we are providing a 360-degree kind of solutions for creation of infrastructure for our stakeholders.

If you see our operations, we operate through our regional offices across the country, and there are full-fledged regional offices who take care of the business development, the policies, the recoveries, the HR and everything is there at the doorstep of the borrowers. And that's why if you see that we have been able to reduce our SMA-2 assets also. So they take care of the monitoring, financial monitoring and the physical monitoring, the status, the progress of the project, starting from the business conceptualization. So, they are becoming our growth engines

for the company. Then regarding the figure, if you can see that our financial ratios are very strong. So, debt equity is in the range of less than 6%, which is best for any financial institution. Our CRAR is also around 47%-48%. We are leveraging our capital very well.

And you can see our sanctions has raised around 5 times on quarter to quarter on a yearly basis, from INR 18,000 crores, we have raised up to INR 92,000 crores. The company has a very robust pipeline, which is testimony that our disbursements are continuously growing. If you see our disbursement on quarter to quarter on a yearly basis, we had raised up to INR 31,760 Crores of the disbursement in the past 9 months. In last year, it was only INR 17,000 Crores, the year before past, it was around INR 8,000 Crores. So company is in -- on continual growth path.

Our loan book has raised about 41% on a yearly basis. If you see, last year, by 31st of December, quarter 3, the loan book was around INR 84,000 Crores, which has raised to INR 118,000 Crores of the loan book. And we will not be stopping at this pace because we have a very robust pipeline, so committed liabilities of the loan, the loan book or, you can say, order book of the Company is more than INR 1.2 lakh Crores presently, and we are continually working to raise this order book.

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Our borrowing, if you see that we had continually worked to cut down our cost of funds, irrespective of our growth, we had been successfully able to cut down our cost of fund and during last 9 months, we had raised around INR 39,000 crores - INR40,000 crores and the weighted average cost of the borrowing is 6.8%. So on a year-to-year basis, you can say we had cut down around 30 basis points of our borrowing and this is actually providing potential to fund the best asset quality and without compromising on our yields, NIMs and the spreads.

On NPA side, we are very, very aggressive in resolving our assets, and you can see that our NPA levels are coming down very, very heavily and now our net NPA is only 0.18% and gross NPA is also reducing. So you can say that we are not only working towards growing business, we are also resolving our assets. We had come to the market for recruitment and around 65 officers we had recruited, a new blood, fresh blood is also infused.

At the same time, we are taking of fear of our corporate governance and all the compliance of the RBI is being done and all the IT framework is also in line with the requirement of the company, including ERPs and e-office. More or less, you can say it's a paperless kind of office.

We are a AAA-rated Company, of course, and 75% owned by Government of India. We are continually raising external commercial borrowings also. Last, we had taken funds from the Japanese market, yen-denominated, and total we had taken 2 tranches in yen and they are giving good arbitrage in terms of the interest rate, which is also one of the factors in reducing our cost of funds.

The borrowing is very diverse, around 17% is coming from the foreign currency and the bond is around 40%. So we are taking care of each and everything starting from the financial ratio maintenance up to the asset quality, then the growth of the business, then the spreads and the resolution of the assets and enhancement of our process and the procedures, including the recruitment of the new officers.

So this is my opening remarks. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Anyone, who wishes to ask a question may press star and 1 on their touchtone telephone, if you wish to remove yourself from question queue, you may press start and 2. Participants are requested to use headsets while asking a question. Ladies and Gentlemen, we will wait for the moment while the Housing and Urban Development Corporation Limited
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question queue is assembled. The first question is from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

Nilesh Jethani: Hi, Good Morning Sir, and thanks for the opportunity and congratulations on the great set of numbers. So first question is on the overall loan growth guidance. I wanted to understand with robust performance in the 9-month

period, do we revise or do we aspire to grow at a much faster pace versus 20%, 25% guided earlier?

Sanjay Kulshrestha: Regarding the growth numbers, yes, last year was very favorable, and this is because of the tailwinds available in the infrastructure sector and the commitment of the Government of India backed by the policies and the capital expenditure in the budget. At the same time, the growth of Company in the last 5 years was not so high, so you can say it was muted.

So in 1 to 2 years at the time, our growth rate may be around high as good as maybe 40% or 30%. But finally, we will be settling in the CAGR of 15% -16% only because we will not be aggressive after 2 years. So we are looking at the figures in the next fiscal of around INR 150,000 crores and by 2030, around INR 300,000 crores. So average CAGR will be around 15%.

Nilesh Jethani: That was helpful. So second question was broadly on the color on the sanction book. So the sanction book today, what we carry, can you give us understanding of what is the nature of these books? And typically, on a very broad-based scenario, sanction to disbursement, what percentage gets converted, A? B, what are the timelines of this conversion typically?

Sanjay Kulshrestha: See, we are a multi-sector financing institution, and our loan book is across the country. I think we have footprint across nearly all the states, only a few states of Northeast may not be there, but in all the states. And states are now becoming most competitive in terms of creation of the infrastructure because it is aspiration of the people to create the infrastructure. So one, we are across states. Second, we are across the sector.

So I cannot say that this sector is moving high or this sector is not moving because in one sector -- in one state, this sector will be moving very high, in other states another sector will be moving very high. But at the same time, since we are housing and urban development, so we will be taking care of the housing as well. Presently, our housing portfolio is around 40%.

And with this PMAY 2.0 push from the Government of India, we are definitely sure that we will be maintaining this kind of loan book for another 2 to 3 years

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at the time because the horizon of this scheme is 5 years and regarding the other assets also, regarding the conversion that you are asking, that pipeline is converted in a year -- 3 to 4 years of the time because we all understand, these are highly capital-intensive projects and a good gestation period is required for implementation of such huge capital expenditure projects.

So 3 to 4 years is enough time. And first year, the disbursement may be around 30% to 35%, and in next couple of years, the project is getting completed. So the conversion ratio presently is more than 80%, and we are definitely sure that whatever we are promising and committing to our borrowers because of our terms and conditions, including the interest rate, we will be the most preferred lender. So conversions will be more than 80% always.

Nilesh Jethani: Got it, sir. And sir, on the disbursement run rate, what we are seeing, the Q-o-Q growth, but we also had the understanding that this time H1 was slightly better for us with some loan disbursement being preponed, but we still carry the fact that H2 typically is better for the BFSI industry as a whole. So this Q-o-Q trajectory of disbursement, is it right to assume we'll continue on a growth trajectory?

Sanjay

Kulshrestha: Definitely. I think everything is going as per plan, in H2, every quarter, we are disbursing around INR 10,000 crores and I think in quarter 4, it will be slightly more than that. So it's all planned and -- because the planning is being done on the progress of the project, so we look at the project to project and find out the disbursement schedules and on the basis of that, only the quarter-to-quarter disbursements are planned.

Nilesh Jethani: Got it sir. It was really helpful, I have few other questions, probably, I will join back in queue and come again.

Moderator: Thank you, a reminder to all participants, you may press star and 1 to ask a question. The next question is from the line of Rucheeta Kadge from I-Wealth Fund.

Rucheeta Kadge: Hello Sir, a very Good Morning, just wanted a little bit color on your cost-to-income ratio. So how do we see that panning out going ahead?

Sanjay Kulshrestha: Cost-to-income ratio, definitely, we are sustaining on from -- if you see the last 5 quarters, the cost of funds we are continuously reducing and income, we are continuously improving. So you can see our turnover is around INR 7,700 crores. And if you compare it with the last year, it was around INR 5,000 crores INR 5,600 crores. Am I right? Around INR 5,400 crores. And regarding the Housing and Urban Development Corporation Limited
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spreads, we are continually sustaining or you can say improving also. This year also -- this quarter also, we had improved to the extent. And I'm sure that we will be maintaining such kind of levels in terms of the spreads and the NIMs. NIMs will be around 3.2%.

If you exclude the EBR portion of INR 20,000 crores, which has been taken by the Government of India, our NIMs are around 3.85% and our spread is around 2.41%. And the return on assets also, if you can see, we had improved a lot. We are at 2.45%, and the return on equity, we had improved from around 11% to more than 14% now.

Rucheeta Kadge: So my question was mainly on your operating expenses side. That is your employee cost and all of that. How do you see that panning out going ahead? Do you think that will be constant or you think it will improve, like increase?

Sanjay Kulshrestha: No, no, definitely, it will not be increase, rather if you take out the escalation, we will be reducing our cost because now the new officers is being included and a lot of retirements are there. So we will be rather maintaining or we will try to reduce our cost. If you see the cost of employees per unit profit, it will be definitely improving.

Rucheeta Kadge: Got you. And sir, on recovery side, how much are we expecting to recover maybe next year?

Sanjay Kulshrestha: We had a definite plan, madam, and we are continually monitoring for resolution of the assets, and you can see our figures also. We had been able to reduce and came out with 1.88% kind of NPA level. For next financial year -- for next quarter, quarter 4, we are targeting some resolutions, which includes the principal of around INR 150 crores and the interest of around INR 50 crores. So, since our NPA levels are very strong, you may feel that these figures are not so catchy, but our total figure is only INR 2,200 crores. And INR 1,200 crores out of INR 2,200 crores is under NCLT. So very soon, I think we will be taking care of this result.

Rucheeta Kadge: Ok sir, understood. Thank you so much.

Moderator: Thank you, the next question is from the line of Rati J. Pandit from Nirmal Bang Institutional Equities. Please go ahead.

Rati J. Pandit: Thanks for taking on my question. My first question is regarding the recoveries. I mean what is the proportion of PSU and private sector NPAs as of now? And what is the status on resolution on the PSU NPAs, which we are having, and in the private sector as well?

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Sanjay Ku

Ishrestha: See, lot of PSU NPAs we had resolved, like AP Housing Board, we have resolved and Mizoram Urban Cooperative Development is resolved and SBI is resolved -- SBI Staff Housing Cooperative Society was resolved and Naya Raipur is resolved. So now it is only the J&K that we are working it out, and I'm sure that in quarter 4, we will be resolving that because we are giving some special emphasis on J&K because of its structure.

So we are in discussions with the administration. And very soon, it will be resolved. And last is the Agriculture Produce Market Committee (APMC), (Ahmedabad), which is in the stage of the auctioning. So very soon in quarter 4, we will be resolving that. So the PSU NPA will come to 0 by Q4, that is what we are expecting.

And regarding the private sector, there is no new NPA. We had hold sanction of the private sector. And whatever we are doing is for the resolution of these private sector projects only. And as I have stated earlier also, out of INR 2,200 crores NPA, around INR 1,200 crores is under the NCLT and around INR 429

crores is under the DRT. So we are monitoring the cases, and I think we are in the advanced stage of the resolution.

And at the same time, we are working our OTS policies also, and we are revising continually in line with the need of the projects. And we are going project to project to resolve those kind of assets and understanding the kind of problem they had faced and how to resolve these assets in the given scenario.

Rati J. Pandit: Okay. And my second question is regarding the PMAY Urban Yojana, do we expect any further disbursements in the same?

Sanjay Kulshrestha: Yes, yes, it has just started, madam. So it's a very big program of Government of India. If you say PMAY urban and rural around INR 1,200,000 crores is to be infused which takes care of the BLC component and ISS component and the affordable housing on rent and partnership. So what we are expecting that INR 100,000 crores in next 4 to 5 year total disbursement will come from this sector for HUDCO only.

Rati J. Pandit: So it will be towards state sector entities? I mean I hope we won't have another round of GN, so it won't...

Sanjay Kulshrestha: It will be towards the state sector entities. And other than that, we are also opening our window for the PPP housing projects under PMAY in partnership.

So we are opening that window also and we are discussing with the government that how this modelling can be done.

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Rati J. Pandit: Ok sir, that's it from my side. Thankyou sir.

Moderator: Ladies and Gentlemen, you may press star and 1 to ask a question. The next question is from the line of Navin Shetty from Tara Capital Partners. Please go ahead.

Navin Shetty: Sir, just wanted to understand in terms of your growth guidance, you told after 2 years, it's going to be 15%. Is there a change in the growth numbers that you were expecting earlier? Or has it been the same? Just wanted to clarify on the growth numbers.

Sanjay Kulshrestha: Presently, it is the same that by 2026 fiscal, we will be around INR 1.5 lakh crores. And for this year, the target was around INR 1.2 lakh crores. So we had already achieved 1.18. So we may be settling at around 1.25. So if there is a revision because of the opportunities and the potential of the market, we will be informing to the market. But as of now, we are settling at INR 1.5 lakhs crores, which is the same number for next fiscal and INR 300,000 crores by 2030. At the CAGR average, CAGR of around 15% to 16%.

Navin Shetty: Okay. Okay. So that was always the guidance that you had given. Sorry, just wanted to understand -- reiterate that.

Sanjay Kulshrestha: Yes. It will be between -- average CAGR will be between around 20%.

Navin Shetty: So, you mean 20% will be the average CAGR over the next 3 to 4 years?

Sanjay Kulshrestha: True.

Navin S

hetty: Got it, thank you.

Moderator: Thank you. The next question is from the line of Arjun Bagga from Baroda BNP Paribas Mutual Fund.

Arjun Bagga: Yes, Hi Sir, Good morning and thank you for the opportunity. So you shared this AUM growth guidance of around 40% -- 30% to 40% for the next 2 years. Just wanted to understand the color of this, in sense what segments would be growing and would be leading this growth? I think for this quarter on a quarter-on-quarter basis, the growth has been almost equally distributed between the housing side and the urban infra side. If you could give some color over there, sir?

Sanjay Kulshrestha: If you see the different reports of CRISIL or McKinsey, I think huge numbers are coming in terms of the Capex requirements by 2030. So we are taking a pie of that only. So our focus will remain on the urban infrastructure and

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housing. So housing will be the big way because PMAY 2.0 has been launched by Government of India, which is a very ambitious project. If you can see, in

earlier PMAY 1.0 also, HUDCO has contributed a loan of around INR 42,000 crores, INR 43,000 crores.

So this time, we are expecting around INR 100,000 crores coming out of the housing only. And other, then that metro projects are there, then the road projects are there, then the port projects are there, then the water sewage is always there in our kitty. So all these projects will be the guiding factor of our loan book. Then the energy will also be there, yes.

Arjun Bagga: Sir, just coming again in terms of the numbers out here, so would it be safe to assume that -- assuming that we are growing at this 35% to 40% number for the next 2 years, then that would be equally, like a similar number would be there for housing and similar for urban infra as well. Would that be safe to assume?

Sanjay Kulshrestha: It will be around 40-60 only because housing is not so capital-intensive. We are into the affordable housing category only. So you can take 40% towards the housing and 60% towards the urban infrastructure.

Arjun Bagga: Sure Sir, Thank you so much

Moderator: Thank you, the next question is from the line of Arvind from Sundaram Alternates.

Arvind: Hello Sir, thank you so much for the opportunity. I would like to understand this. So our yields are based on internal benchmarks or is it based on external benchmarks? And if you can give the split of that internal and external benchmarks, if there is any? And similarly, what would be the reset period -- like a typical reset period? Is it early or anything? And the effort is an internal benchmark. And with respect to cost, like a borrowing side, like is there any big chunk of borrowings in the external benchmark? I mean, like not straight like floating rate borrowings, is there any significant mix?

Sanjay Kulshrestha: Our Director (Finance), Mr. Khatri wants to speak on that.

Daljeet Singh Khatri: Our yields are based on internal benchmarks. We have our own internal -- we worked out our own internal MCLR, and we have our own rate card, which is applicable for various category of borrowers and various sectors. So yield is based on that. And then coming to your second point that, how do we look at further raising of our resources in the times to come?

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As you have seen, around 17% of my total borrowings is now from external commercial borrowings and FCNR (B). And we look forward to take this percentage of external commercial borrowings and FCNRs to around 20% of our total borrowing mix, so as to have -- so as to further reduce our cost of borrowing.

So I was mentioning about the diversification of our resources, -- which have taken place in the last 1.5 to 2 years. As you have seen that our external commercial borrowing mix has increased from nearly 1%

to around 17% of our

total borrowings. And we intend to further increase it to around 20% of total borrowing mix, so as to reduce our overall cost of borrowings. As you have seen in the last 9 months ended during the current financial year, our incremental cost of borrowing has reduced from 7.2% to around 6.8%. And so we look forward to continuously diversifying our borrowing mix.

Moderator: Thank you, the next question is from the line of Kayur Asher from BNP MetLife.

Kayur Asher: Thank you sir for the opportunity. I guess most of my questions have been answered, but maybe just a few follow-ups. So sir, we understand that there's been a strong traction on this urban infra segment. So if you could provide some more color there on the, let's say, larger disbursements that you would have made recently in terms of projects you are funding and geography where this funding is happening? And more importantly, if you could talk about, I mean, how you are mitigating potential asset quality risk here? I mean are all these loans typically guaranteed by the state government? Whether HUDCO is the sole lender in these projects?

Sanjay Kulshrestha: I think our Director (Corporate Planning) will speak on that, and then I will also supplement.

M. Nagaraj: Good afternoon. Actually, if you see our balance sheet, in terms of the majority of our loans are secured by government guarantee. By nature in urban infrastructure, we funded predominantly in infrastructure, especially like roads,

urban mobility, water supply, sewage, very good portfolio we have. So some of them are secured by a government guarantee, and some of them are bankable projects. In terms of housing, we have predominantly done Pradhan Mantri Awas Yojana. Again, now Pradhan Mantri Awas Yojana 2.0 is likely to start. Probably next year, it will pick up gradually. So it is in the planning and conceptual stage.

Kayur Asher: Sir, whether HUDCO is typically the sole lender in these projects? Or how does it work?

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Sanjay Kulshrestha: Actually, now we had started working on the idea to become a sole lender. But at the same time, we are open to consortium financing and some of the projects we are financing with REC and PFC also because they had also off late started the infrastructure financing. Of course, there is a cap of 30% with them, which is not there with the HUDCO.

So if the project size is too large and as per the regulatory guidelines, we are not able to fund 100%, we are going ahead with the consortium. But having said that, we always prefer to go solo, to have our own terms and conditions and the monitoring framework and everything on us to take care of the loan during the lifetime. But at the same time, regulatory framework has to be taken care.

And regarding the urban infrastructure, that's what you were asking, you may be knowing that India has a very high rate of urbanization and a lot of requirement of the capital is coming into the urban sector and a lot of traction is there and which is driven by the aspirations of the people who are coming to the urban side or the urbanization of the rural side. So a lot of infrastructure is required, starting from the housing to water and the basic needs of a person, starting from the sewage to energy, then the roads, then the mobility. So all these things of the urban infrastructure for which HUDCO is mandated to support as a financier.

So we have ample opportunities of the funding, and we have been exercising this very judiciously. Of course, presently, our more than 75% of the loans are backed by the government guarantees, but we had off late started doing the cash flow based projects also. So we have a very diverse kind of loan portfolio, and we are continually working with the states to understand their needs and the requirements and to work out some customized loan product also in li

ne

with the requirement of the project.

Kayur Asher: That's helpful. And sir one other follow-up. So just more broadly, like you mentioned at a high level, if you could help us understand given that large proportion of the lending that HUDCO does is, let's say, backed by the state government guarantees or maybe budgetary provisions.

So what is -- what typically restricts the states to, I mean, fund these projects directly from their budget or through, let's say, the SDL borrowings that they do, the market borrowings that they do, given that, I mean, the borrowing rates on those bonds are likely to be much cheaper than what HUDCO would be lending at? So what's driving that demand, if you could help us understand that.

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Sanjay Kulshrestha: You are right on your point. The first option the state exercises is of the SDL, but the appetite of the market and the requirement of the state at that point of time, it actually decides the amount of the SDL, which the states raise. If you see the HUDCO loan, we are a project financing-based organization. So we are disbursing the funds in line with the requirement of the projects. So there is no holding charges on the states for our loans. So on one day, if they require INR 1 crores, we will be disbursing in line with the requirement of INR 1 crores something.

However, if you go for the SDL, there will be a holding cost with the states and for HUDCO loans, they can use as a tap arrangement, so they will be saving

on their part. And secondly, there are some concerns about the FRBM limits also, so they have to be within that FRBM limits also. And thirdly, the market appetite to control their cost of funds in terms of the SDL, it also plays a very vital role while deciding the amounts of SDL.

Kayur Asher: Understood. Sure, sir. And sir, lastly, I mean, so we understand, I mean, you're guiding for a pretty strong growth in the coming years and also HUDCO is known to, I mean, have a decent dividend payout. So do you envisage any equity requirement going forward over the medium term?

Sanjay Kulshrestha: By 2030, going by this figure, whatever projections that we have taken -- given to the market, I don't think that we will be requiring any capital infusion. Our CRAR is very strong of around 47%. Our debt equity ratio is very good, so now the profits are being generated. So I don't think anything will be there. Last year also, the net worth has raised by around 11%. I think all the financial ratios are in control. ROE is around 2.45% and debt equity is also in control. So I don't think any requirement of the capital will be there for the company.

Kayur Asher: And sir, is this also -- I mean, given that bulk of our loans are backed by the state government, which might be coming at a lower sort of risk weight, that is also driving stronger capital ratios. Would that be a key contributor there?

Sanjay Kulshrestha: Yes, yes, definitely.

Kayur Asher: And sir connected question there because you mentioned about, let's say, INR 300,000 crores book by 2030, how should we look at, I mean, the overall mix of that particular loan pool vis-a-vis -- I mean, what percent of the book would then be, let's say, backed by state government borrowing -- state government guarantees or budgetary provisions? Any rough idea if you could provide there?

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Sanjay Kulshrestha: See, definitely, lower on size on the numbers because Ministry of Finance, Government of India is continuously monitoring extending the government guarantees and the budgetary allocations, and there are issues in the FRBM. That's why we have switched towards the bankable projects and now we have set up internal department to look at the private sector funding also. So we are appraised of the situation that we may not be get

ting the government

guarantee and we will be going for a good quality of the asset in other side or PPP side kind of thing. So I don't see any high -- this is the highest that government guarantee we had. So going forward, the number may reduce. But at the same time, we will not compromise on the quality of the asset and the quality of the entities to which this lending will be done.

Kayur Asher: Understood sir, this is very helpful. Thankyou sir.

Moderator: Thank you , the next question is from the line of Dhaval from DSP Investment Manager.

Dhaval: Congratulations on good numbers. Just had a couple of questions. First was relating to the Government of India bond book that we have about INR 20,000 crores. When does it sort of run off, if you could just remind, that would be useful? And second was relating to the profitability that we've achieved in the last 9 months, just sustainability around these ROA metrics, if you could just talk about what's the sustainable ROA for our business? That would be quite useful.

Sanjay Kulshrestha: Regarding the bonds, which has been raised as EBR, '27-'28, everything will be retiring.

M. Nagaraj: '28-'29.

Sanjay Kulshrestha: '28-'29, sorry. So, profitability numbers will be sustainable on a growth path, and we are maintaining our spreads and the NIM. So I have no doubt that the trajectory of the profitability, we will see. At the same time, if you see our ROA is around 2.4% - 2.45%, so we will be somewhere around that number only because we are not compromising, at the same time, we are resolving our assets. We are working towards cut down the cost of funds. So everything is contributing in terms of the ROA or ROE. These figures, we are settling down. I think by next quarter, we will be settling and sustaining those figures.

Dhaval: Sir, just on the first one, on this INR 20,000 crores, so our INR 300,000 crores guidance is after this run-off that we'll see in FY '29. So that is budgeted. So is that correct?

Sanjay Kulshrestha: Yes, it's for 2030, so before that, they will be retired. So it is net of that, correct.

Dhaval: Understood. And the second one is, sir, where I was coming from an ROA perspective was the current profitability also includes the write-backs, which probably couple of years, maybe we'll sort of see a normalization of that provision line, which is right now negative. So from that perspective, I was just trying to understand, you are confident of achieving this 2.5% -- 2.4%, 2.5% ROA even at that size is where I was coming from.

Sanjay Kulshrestha: Yes, yes. If you see in the last year, our profit has grown by 40%. So it may not be 40% because some of the figures are coming from the write-backs, you have rightly said. But after resolving all these assets, I think we will -- and at the same time, we are enhancing our loan book also. The contribution of the loan book will be higher towards the profit. So that's why the threshold level of the profit will come and the trajectory will be maintained.

Dhaval: Perfect sir, Great. Thanks and all the best.

Moderator: Thank you, the next question is from the line of Ritika Dua from Bandhan AMC.

Ritika Dua: So just one question. On the release that you had made on this MoU that you had signed for the development of the port project, so could you just share some more details around that? What -- you've said that it's a INR 25,000-odd crores kind of project. So how does that progress? And may be also some color on how -- on what yields do we look to do this business at?

Sanjay Kulshrestha: Yes. Mr. Nagaraj will be speaking on that.

M. Nagaraj: We are really thankful for such a nice question you have asked. So this is a very progressive one, ma'am. As you see, the JNPT has already reached saturation levels. So as a result, now they are going for a new port. So we already committed almost 1/4 of

the total one. This will be implemented in a progressive manner. So it is expected that in a couple of years time, it will get mature.

Depending upon the requirements, they'll be drawing out funds. This is the first step what we have done is executing an MoU. So next step will be that sanctioning and all. We expect that 8.9% will be the range of yields in which they will be availing this facility, ma'am.

Ritika Dua: And sir, when you say 1...

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Sanjay Kulshrestha: Just to supplement. This is a very important infrastructure for the country, and we are very fortunate to get this opportunity of associating with JNPT. But at the same time, we will not compromise on our yield. So yield will be around 8.9% to 9% kind of thing. But these yields are continuously varying. It depends on the cost of funds and the rate cut expected from the RBI. But definitely the yields will be maintained, madam. At the same time, the quality of the assets will not be compromised.

Ritika Dua: Sir, on an incremental basis, the spread on this particular funding would be -- if it all, 9% is the yield, the incremental spreads on this particular project would come at what?

Sanjay Kulshrestha: Not less than 2%.

Ritika Dua: Not less than 2%. And sir, like you said that 1/4 has already been approved, I believe, is what that number you said and this number is likely to be disbursed over what time frame?

Sanjay Kulshrestha: No, no, it is not sanctioned, madam. The MoU is just signed yesterday -- day before yesterday. So now we are in the advanced stage of discussions regarding the terms and conditions. Then only the DPR will come to us. And then only -- because we work actually backwards because we want to ensure that business rather than just signing an MoU. So now the discussions on the terms, conditions and the disbursement schedules and everything will be worked out, and it will go to the Board for sanctioning.

Ritika Dua: And sir, likely, this would be on a consortium basis considering the size?

Sanjay Kulshrestha: Yes, yes. It will on the consortium basis. But we have to see it should be under

our regulatory limit. And since our net worth is continuously increasing, so presently, we can take up to around INR 5,000 crores of the loan. So balance will be -- if they require then balance it will go for other lenders also. But if they require in 5 years of the time, by the time our net worth will also increase. So we will see that how to engineer this disbursement and the loan outstanding in line with the regulatory requirements.

Ritika Dua: And sir, just one last question, like to one of the previous questions asked by another caller that you know if at all this were to be funded by the state themselves, what other routes they could have maybe taken and what would have been the cost of fund in that case versus the 9% that you are maybe looking to lend them at?

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Sanjay Kulshrestha: Since they had exhausted that route of SDL or asset-based funding, that's why they have come for the long-term lending because we are providing more than 15 years kind of door-to-door tenure. So, all these things mean lending comes after the issuance of the SDL or government-backed security.

Ritika Dua: Great! Thank you so much.

Moderator: Thank you, the next follow-up question is from the line of Rucheeta Kadge from I-Wealth Fund. Please go ahead.

Ms. Rucheeta, I would request you to unmute your line and speak, please.

Rucheeta Kadge: Yes. So my question was on the average age of our book, so if you could just provide some color on that?

Sanjay Kulshrestha: Around 7 years is the average age of our book.

Rucheeta Kadge: Urban plus housing.

Sanjay Kulshrestha: Yes, yes. This is the average age.

Rucheeta Kadge: Okay. And this would be the norm going ah

ead as well?

Sanjay Kulshrestha: Longest loan will be around 20 years, the shortest is around 1 year. So average, we'll be maintaining between 6 to 7 years of the time.

Rucheeta Kadge: Understood. Thank you so much.

Moderator: Thank you, the next follow-up question is from the line of Omkar from Vasuki India.

Omkar: Yes, Good morning Sir, I just wanted to know the outlook on credit cost. So for now, we are having write-backs, but what will be our normalized credit cost, if you could say that, in the next 1 to 2 years?

Sanjay Kulshrestha: Credit cost, we will be maintaining that because there are some external parameters, which we see that some reductions will come. We are expecting some reduction, and the credit costs will definitely go down.

Omkar: Okay. So we will have the write-backs on for next 2 years?

Sanjay Kulshrestha: There will not be any new NPA, so it will definitely go down.

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Omkar: Okay, that's great. Congrats on the results.

Moderator: Ladies and gentlemen, due to time constraint, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Sanjay Kulshrestha: Thank you so much. I think it was a very interactive session, and we understand this kind of questions we've been asked. So definitely, it has enriched our experience. And thank you for believing in us. And I can assure you that the figures will be sustainable and whatever we are doing, there is a definite framework to set these targets, and on that basis only, we are working and there is a huge potential in the infrastructure financing market.

Looking at the Viksit Bharat plan of Government of India and now states had started competing in creation of the infrastructure, which is a good work. This infrastructure growth is driven by the aspirations of our 1.4 billion people. So, I think the sustenance of our business, which is -- since HUDCO is a multi-sectorial financial institution, so it will provide a natural hedging in our business. So the growth rate will be sustainable. So that's what I want to assure you.

Moderator: Thank you, on behalf of Elara Securities, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

HUDCO/List. Comp./SE/2025-26 14th May, 2025

Sub.: Transcript of Earnings' Conference Call held on 8th May, 2025.

Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of Earnings' Conference Call of the management of HUDCO with Investors/ Analysts held on 8th May, 2025. The same shall also be available on the website of the Company i.e. www.hudco.org.in

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“Housing and Urban Development Corporation Limited

Q4 FY '25 Earnings Conference Call”

May 08, 2025

MANAGEMENT : M R. SANJAY KULSHRESTHA – CHAIRMAN AND MANAGING DIRECTOR –
HOUSING AND URBAN DEVELOPMENT CORPORATION LIMITED

M R. M NAGARAJ – DIRECTOR , CORPORATE PLANNING – HOUSING AND
URBAN DEVELOPMENT CORPORATION LIMITED

M R. DALJEET SINGH KHATRI – DIRECTOR OF FINANCE – HOUSING AND URBAN DEVELOPMENT CORPORATION LIMITED

M R. LVS SUDHAKAR BABU – EXECUTIVE DIRECTOR , FINANCE – HOUSING AND URBAN DEVELOPMENT CORPORATION LIMITED

M RS. SHEFALI SUDHAKAR – GENERAL MANAGER, FINANCE – HOUSING AND URBAN DEVELOPMENT CORPORATION LIMITED

M R. ACHAL GUPTA – GENERAL MANAGER, FINANCE – HOUSING AND URBAN DEVELOPMENT CORPORATION LIMITED

MODERATOR : M S. RATI PANDIT – NIRMAL BANG INSTITUTIONAL EQUITIES

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Moderator: Ladies and gentlemen, Good Day, and welcome to the Housing and Urban Development Corporation Limited Q4 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Rati Pandit from Nirmal Bang Equities Private Limited. Thank you, and over to you, ma'am.

Rati Pandit: Thank you, Sejal. A very good morning to everyone. On behalf of Nirmal Bang Institutional Equities, we welcome you all to the 4Q FY '25 earnings conference call of Housing and Urban Development Corporation Limited. We are pleased to host the senior management of the Company, represented by Shri Sanjay Kulshrestha, Chairman and Managing Director, Shri M. Nagaraj, Director (Corporate Planning), Shri Daljeet Singh Khatri, Director (Finance), Shri LVS Sudhakar Babu, Executive Director (Finance), Mrs. Shefali Sudhakar, General Manager (Finance) and Shri Achal Gupta, General Manager (Finance).

I now hand over the call to CMD Sir, Shri Sanjay Kulshrestha, for his opening remarks, post which we can have the floor open for Q&A. Thank you, and over to you, sir.

Sanjay Kulshrestha: So, Good Morning all of you, and thank you for joining on the call. So, let me start with the journey of HUDCO. HUDCO is a more than 5-decade old organization and primarily created by the Government of India to create affordable houses for the economically weaker sections in way back in 1970. So, during last 55 years of its journey, the Company has grown leaps and bounds, and lot of changes in the transitions had been made. Presently, the Company is a NBFC-IFC. It has started its journey as a HFC. So it's a huge transformation that Company has grown from Housing Finance Company to the Infrastructure Finance Company.

In the scheme of things of the Government of India, the HUDCO holds a very strategic role in creation of the infrastructure to create the Viksit Bharat ambition of the Government of India. So, we are under a Ministry of Housing and Urban Affairs. If you see that this ministry takes care of each thing and everything, starting from the housing, which is the epicentre of the development of the infrastructure, to metro, rail, hospitals, then water, sewage, drainage. So lot of programs the ministry is undertaking. And since we are directly coming under the ministry. So we are taking that complementing position to take these schemes and the programs forward, not only in terms of the lending, because the counterpart lending has to be done by the financial institution, and HUDCO is doing that role. And we have a consultancy arm also which actually hand holds our borrower and then we lend. And then we have a capacity building institution in Delhi. So if you see, we furnish a kind of 360 degree kind of solutions to our borrowers. So we're starting from the hand-holding to up to the operation and maintenance of these assets.

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So there is a huge commitment of Government of India. We have seen not only the commitment from the political level, the policy level, but also from the capital expenditure. We have seen last 3 budgets from 2021, government is continuously infusing more than INR10 lakh crores into the capital infrastructure segment. And there is one good thing that now states are also coming forward with the commitment, in line with the Government of India commitment that every state is now started talking about, say, Viksit Maharashtra, or Viksit Rajasthan or Vik

sit Tamil Nadu.

So this is creating a very wealthy trend in in the country.

And we have seen that how these last 10, 15, years are the transformatory kind of years for the infrastructure growth in the country. If you see the macroeconomic systems also, we are very fairly doing in terms of the deficits of the budgets or in terms of the foreign currency deficits, so -- in terms of the inflation. I think in all senses and truly this is a way towards the Viksit Bharat. If I talk about my company, we are also traveling with the journey of government and it's since

it is 75% owned, stake holding and strategic partner.

So we are continuously growing, our sanctions are growing. Now we stand at INR1.27 lakh crores during last financial year. Earlier, it was more than INR82,000 crores. So we have started from INR24,000 crores in FY '23. So now we are at INR1.27 lakh crores. And regarding disbursements also, last year we had closed slightly more than INR40,000 crores. And the philosophy of the company is that we want to create a viable and sustainable kind of infrastructure. In this scene, we are continually working towards reduction of our NPAs and now we stand at 0.25% net NPA.

And we are committed to resolve all these kind of NPAs in 18 months and all efforts are made. And we are continuously coming out of different model and modalities and the mechanism that how to resolve these kind of assets because we believe that this will further increase our bottom line and this capital will go and infused into our business network. So it is not only the business side, we are also continually working towards how to cut down the cost of funds. And you may have seen that in last year we had been able to reduce our cost of fund by around 35 basis points. And in last year's market, it was a very herculean task, but tapping different sources, timing it, the tenure. So all these things has made it possible to cut down this kind of cost of funds. And at the same time, we had worked towards the internal governance of managing our funds also, be it LCR or HQLA. So all these things have been worked out. And so it is a composite effort of the external and the internal measures that we had taken.

So the NIMs and spreads, we are continually improving. At the same time, we are not compromising on our asset quality. Company starting is -- will be starting very soon a PPP model or HAM model kind of private sector funding with a very selective approach to have good entities, best entities, best product with a good cash flow back-to-back through the concessionaire agreements. So all these things we are working. And in the meantime, we had taken around 63 new employees to create that kind of capacity and capability within the company.

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So now we are becoming a paperless office, and we are continuously reducing our turnaround times. So I think we are at the right place, right time because right opportunities are there in the market. If you see our balance sheet size, it is around INR1.25 crores. So there is a huge scope and potential for growth of the company from the peer organization, which are plus INR5 lakh crores. So we can have a 4x kind of growth which is available in the market. Our financial ratios are very strong. Our CRAR is slightly around 50%. Then our debt equity ratio is less than 6%. So if you see all these parameters, all these permutation and combination give a good opportunity for the company to grow in times to come.

We had kept a long-term target of INR3 lakh crores loan book by 2030 and INR1.5 lakh crores loan book by FY '26. So if you look at the opportunities available, starting from the PMAY to metro and a lot of opportunities are there and now in the last budget, the Government of India has launched Urban Challenge Fund also, which will be projecting around INR4 lakh crores of the investment, and INR1 lakh

crores will come from the Government of India as a subsidy or grant. And another 25% will be coming from the state government. So there will be PPP model for this INR2 lakh crores project, which is 50% of the total project cost to make it bankable. So I think we are best placed with good ratios, financial ratios, with good opportunity, with good policy advocacy. And we are also well equipped and we are all prepared to take that leap towards the Viksit Bharat. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone, who wishes to ask a question may press star and 1 on their touchtone telephone. if you wish to remove yourself from question queue, you may press star and 2. Participants are requested to use headsets while asking a question. Ladies and Gentlemen, we will wait for the moment while the question queue is assembled. The first question is from the line of Shweta from Elara Capital. Please go ahead.

Shweta: Thank you Sir for the opportunity and congratulations on a good quarter. I have couple of questions. Sir, first pertains to your growth targets. So while you mentioned around INR1.5 lakh odd crores of loan book by FY '25 -- sorry, FY '26, but then if we look at the current trajectory, so this quarter we posted almost 35% growth. And overall FY '25 stood robust.

So don't you think highly likely you might even surpass this INR1.5 lakh odd crores of target? That's the first question. But just a follow-up there. So your disbursement run rate has been pretty strong, but Q4 saw a slight decline in disbursements. So what is the normalized run rate going forward? Yes, that's my first question.

Sanjay Kulshrestha: Okay. Good morning, Shweta. And I think this is a very relevant question regarding the growth

targets. We had kept a target of INR1.2 lakh crores for the last financial year, and we had achieved INR1.25 lakh crores. So the target will remain INR1.5 lakh crores for the next financial year. And because you see we are into a segment which is very, very competitive, and we are with a commitment that we will not compromise on the asset quality. So all these 2 parameters are prime for us to come out of any number. So very safely, and we are very -- you can say we are cautiously aggressive. We are not too aggressive. But at the same

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time, you can say we are a cautiously aggressive company towards the funding of the infrastructure project.

So INR1.5 lakh as of now, you are right that it seems to be an achievable figure. But let's see. Let's cross the second quarter. Then if there is something to update, then we are ready to update that thing because there is something which is in preparation, including the Urban Challenge Fund or PMAY 2.0. So all these opportunities are there in the market. We had not factored these kind of opportunities because we don't know whether this disbursement will be coming in this financial year or next financial year. So that's why we had capped this INR1.5 lakh crores.

And regarding disbursement, I think we are doing pretty well. On year-to-year, we had more than doubled our disbursement from INR17,000 crores, INR18,000 crores to INR40,000 crores. And if you see, they are spreadly factored into the quarters. Rather it's slightly equal also. But since you know that we disburse fund on a reimbursement basis, we want to see that assets are created. So there is slightly up and down on that side on quarter-to-quarter basis, but it is not fair to work out these kind of figure on a quarter-to-quarter basis. I think the year target is more prudent for a financial institution, and we had achieved INR40,000 crores.

Shweta: Fair point, sir. Sir, just a follow-up there because you mentioned PMAY 2, and I was looking at the government website. So there is no press release per se on any kind of PMAY 2 disbursals going through t

his year. So can we assume that PMAY disbursements might not happen in FY '26? And therefore, then your growth run rate would remain in the range of what we are seeing currently today?

Sanjay Kulshrestha: See, PMAY 2.0, it starts from the Government of India, go back to the state government, then the work will start. So that's why we had not factored in. But I'm sure that some disbursement will come in times to come. But since there is very little clarity on the states, that's why we had not factored that PMAY 2.0. So if it comes and there is a visibility, we will be able to revise our target upward from INR1.5 lakh crores.

Shweta: Sure. Sir, my second question is on NII and cost of funds. So was there a one-off element there because your NII sequential basis have dropped? And also, I was looking at certain components of liability mix. So correct me if I'm wrong, is it that the government bonds, which are -- which you mentioned in last quarter, they are retiring in '28-'29. So are these EBR bonds pressurizing a bit on cost of funds? Also 1 or 2 components like taxable bonds, FCNR incrementally is looking down, but the existing ones have seen certain spike on cost of funds. So can you just elaborate on what was the one-off element in NII and also cost of funds a bit?

Sanjay Kulshrestha: We had improved our total cost of fund from 7.25% to -- sorry, 7.1% to 6.75%. So it is a reduction of 0.35 basis points. But at the same time, EBR is a pass-through kind of arrangement and government is taking care of the repayments of the EBR. But yes, you are right. In arithmetic, if you see because the total borrowing, those bonds were borrowed slightly more than 8% of the cost.

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So in a weighted average, they are factoring in and slightly higher weighted average cost is coming. That's why we had shown in 2 ways that is including EBRs and excluding EBR. So to make it more fair and information to the market.

Shweta: Okay. So are you giving a NIM guidance basis NII and cost of funds going forward? That's my last question.

Sanjay Kulshrestha: We are maintaining our NIM rather improving from 3.18% to 3.22% during last financial year. And I think we will be remaining around these figures only, maybe around 3.25%. So we will be making a sustainable kind of NIM. And yield, we had improved drastically from 9.04% to 9.5%. Similarly, we had improved on ROA also. It has now grown from 2.42% to 2.44% and on ROE, as we had last time also communicated that we will be working around 15%. So we had

achieved 15% in last financial year.

So the guidance will remain the same. But on the borrowing side, we will be trying because we are hoping some more repo cuts also in this financial year and some dollar will go down. So that may be a possibility that we will be further cutting down of the cost of fund. And now the government has given a window of 54 EC. So all these things, if you factor in, so we are hoping that another 10, 15 basis points on weighted average cost can be reduced during the financial year.

Shweta: That's very helpful sir. I will join in the queue. Thank you, so much.

Moderator: Thank you, the next question is from the line of Ramesh Damani from RSD Finance Limited.

Please go ahead.

Ramesh Damani: Good morning, thank you so much for the chance and congratulations for a good set of numbers.

I just wanted to understand some color on accounting, sir. In your consolidated results that you sent to the stock exchange, there are 2 items that I just wish if you could add some color to it. 4-3, which is the net loss on fair value changes, is that based on the bond value interest rates and 8-B, could you explain the accounting behind that? Just those 2 questions, sir.

Sanjay Kulshrestha: Okay. I think our Director (Finance) will be answering this question. Mr. Khatri?

Daljeet Singh Khatri: Yes. Good morning. There is an

increase in the MTM valuation, fair value changes, and that is primarily because of the hedging which we have done and the movement of dollar in favor of INR. So on account of that only we have MTM valuation losses in this quarter.

Ramesh Damani: I mean for the whole year, it's about, what, INR400 crores?

Daljeet Singh Khatri: Pardon?

Ramesh Damani: For the whole year, it's been INR400 crores MTM losses?

Daljeet Singh Khatri: Yes, that is because the dollar moved -- I mean, from 88, the dollar came at around 85 as at the close of the financial year. So it has reciprocal impact on the MTM gain or loss. When the dollar

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moves, right, when the dollar goes up, there is an MTM gain. And when the dollar comes down as vis-a-vis INR, there is an MTM loss. So that is why, yes.

Sanjay Kulshrestha: These all things are happening because of the global uncertainties and the currency fluctuation. So no directly contribution of the business of the company. But yes, these are the things that -- they are beyond our control.

Daljeet Singh Khatri: And this is actually notional also. Actually there is no cash outgo involved on this, these notional calculations.

Ramesh Damani: Correct, sir. And 8-B, sir?

Daljeet Singh Khatri: B part?

Ramesh Damani: 8-B in your notes, in your P&L, 8-B. Can you just give us some color on that? I'm not understanding the accounting behind it.

Daljeet Singh Khatri: Actually, there are 2 parts in the MTM -- I mean, MTM gain and losses on fair valuation on foreign exchange transactions. And these detailed calculations are done by the bankers and vetted by our consultant, which is Deloitte. There are 2 components. One shows the MTM gain or loss on account of the movement in the dollar vis-a-vis INR. And the B part, that is derived assuming if the entire transactions are unwinded today and if we have to again enter into those transactions or contracts what is going to be the gain or loss on that.

Sanjay Kulshrestha: But both are notional as of now.

Ramesh Damani: Yes, it's notional, but it kind of affects the P&L. So I just wanted to understand that. Thank you sir

Moderator: Thankyou sir, before we take the next question, a reminder to participants that you may press star and 1 to ask a question. The next follow-up question is from the line of Shweta from Elara Capital. Please go ahead

Shweta: Thank you so much Sir for a follow-up, you made comments in the opening remarks mentioning that there are INR2,000-odd crores of NPAs, right? And you expect these to get resolved over the next 18 months. So can you just spell out the names of these 6, 7 accounts? That will be very helpful.

Sanjay Kulshrestha: Yes. We have around INR2,000 crores of the NPA accounts. And out of that, around INR1,100 crores are under NCLT and out of INR1,100 crores, the orders of the NCLT has already been received for around INR800 crores. So most of the assets which are under NCLT, they are resolved, either liquidated or resolved. So NCLT has came out with the order. So you wanted some names also?

Shweta: Yes, sir, those loan accounts, names of those loan exposures.

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Sanjay Kulshrestha: Yes. There is one KVK Nilachal Power Pvt. Ltd. So total NPA amount is INR348 crores. Then Konaseema is there, it is INR102 crores. In first case, PFC is the lead. In second case, IDBI is the lead. Then there is one Sri Maheshwar project in Madhya Pradesh, where the PFC is the lead. It is also resolved and things are going ahead. Then there is one Nagarjun Oil Corporation Limited. So we are exposed to INR350 crores. IDBI is the lead. For that also the liquidation order is approved by the NCLT.

So the total sum of around INR800 crores resolution or liquidation has already been received from the NCLT, and we are hopeful that within a year of

the time, we will be getting whatever

our portions are. So the next is the other assets other than these NCLT, we are in DRT or DRAT and we are resolving through our various OTS or revised OTS kind of schemes. And now we are ready to discuss on one-to-one basis also because these cases are lingering in legal battles from last 20, 25, 30 years.

So now we are coming out with a policy to resolve and make a commitment that we will be resolving all these INR2,000 crores assets within 18 months of the time. And at the same time, we will not compromise on the quality, and we will make all out efforts that there will not be any new NPA.

Shweta: Right, sir. Sir, while you continually are emphasizing that asset quality will take precedence, but simultaneously, you also mentioned in your opening remarks that you will be participating more so now in PPP and private sector projects. And we have already seen over the years the NPAs were cladded because of these private sector power assets and others. So how do you -- so given that private sector exposure or component might go up, so how do you see the NPA cycle panning out going forward?

Sanjay Kulshrestha: See, while starting this PPP or HAM or BOT, whatever the models are, so we will be very, very selective in terms of the entities, in terms of the project or segment and in terms of the concessionaire agreements and the comfort that how the revenue flow will come and what will be the fallback arrangement.

So it will not be a kind that we will be doing in consortium just the mistakes that we had done last time. And we have taken a lot of lessons from that. And now things are settled up. The policies are in line. There is a commitment. There is a framework, regulatory framework also. There is a market framework also to oversee and monitor these kind of models. If you start with power, there is a SECI-based where the PPA PSAs are in place and there is concepts that kind of fund flow arrangement. If you go for NHAI, the HAM model has that kind of cool fund kind of repayment arrangement. In case of real estate, there is a RERA, which is set up. So we will be going with most of the listed entities or A-rated kind of entities only, the A-rated kind of projects only. And there will not be any target for the private sector projects.

So we may be starting it up further. But at the same time, I can assure you that there will not be any compromise on the quality. And at the same time, there will not be any target to do so. And thirdly, initially, we will be very, very cautious and maybe some third-party external agencies

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will be there to appraise along with our own staff also so that in the meantime, the capacity and capability will further increase.

So all these cautions, all these risk mitigation measures, all these compliance measures, all these things will be taken whenever we will start this private sector. But now from last 1 year, we are only working it out, what will be -- who will be the entities, what will be our guidelines, what is the segment and all these things we are working out. So there is no set timeline also to start this PPP.

So there will be a very robust monitoring also. There also, we will take support of the third party. There will be a robust monitoring of the TRA. So whatever we had not done in last cycle of NPA, I think with all these policy measures of the government, Government of India and the regulatory framework, we also have -- we've also put in some regulatory and monitoring framework to see that our money will go towards the project and our -- the cash flow should come back to the company.

Shweta: Understood, sir. Sir, last question. Your opex saw a meaningful spike. And also in the opening remarks, you mentioned you sort of boosted your capacity building by adding 63 new employees. So can you just sort of throw some color what a

ctually led to this significant spike in opex?

Daljeet Singh Khatri: I mean if you see the total expenses, whether it is employee-related or it is establishment-related expenses, if we compare with current figures with FY 2023-'24, net-net, they are more or less comparable, but there is some reclassification of expenses between establishment expenses and employee-related expenses that there is some difference, which is visible in the financials.

Shweta: Sir, but then if you see that staff expenses have been reclassified into other opex, but then -- okay. So I understand other opex was up 65% quarter-on-quarter and almost 500% year-on-year because of this reclassification. But even your staff expenses were sort of on the higher side. So is it because of those recruitments? See, because overall opex still remains higher, right? I mean -- so I'm not sort of clear. Although there is a reclassification, overall opex component still continues to look elevated.

Daljeet Singh Khatri: Yes. But as you said, one of the reason is because of the recruitment of another 63 executives in the company because of which the employee-related expenses as well as establishment-related expenses also rise to that extent.

Shweta Ok that answered. Thank you so much sir.

Moderator: Thank you, Ladies and Gentlemen, you may press star and 1 to ask a question. The next question is from the line of Sumeet Rohra from Smartsun Capital Private Limited.

Sumeet Rohra: Hello Sir, a very good morning to you and congratulations on a very good set of results. Sir, I just wanted to understand, I was seeing page number 28 on your presentation. And you have signed some very strong MOUs, which is with MMRDA for INR1.5 lakh crores with MOU with

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Rajasthan for housing for INR1 lakh, etc, etc. So sir, can you just throw some color on how much are the MOUs today, what we have signed?

And, sir, secondly, if we are to become a \$10 trillion economy by 2030, my sense is that you've set a very conservative loan book of about INR3 lakh crore because already you'll be INR150,000 crores by end of this financial year.

So sir, can you just throw some light on the MOU signed on the potential MOUs which can come up? And also on realistically, because I'm assuming that this 3 lakh is a base target which you have. But where do you think actually we can be if all these things were to happen of we reaching the 10 trillion economy mark, sir?

Sanjay Kulshrestha: So regarding MOU, this is our continual affair that we engage with the states and try to support them in identification of the project and come out with a financial model which will support them. MOU doesn't mean that the projects are sanctioned. So it is the first step towards the understanding that HUDCO will be the partnering lending agency for funding these kind of projects. So there may be some time because some projects may come in first year, then second year and then the third year. These MOUs are generally for next 5 years of the time.

So this is a business development exercise that we does with the states, and it gives comfort to both the sides because whenever there is a project, they will directly come to the HUDCO and we will standardize the terms and conditions, so that at that point of time there will not be any waste of time in discussing these kind of things.

So this is number one. And number two, you had told that INR3 lakh is very optimistic and looking at the \$10 trillion economy. You are very right because these numbers were -- we had calculated last year, last financial year -- before last financial year.

So still, we are keeping these INR3 lakh crores because we have to see our CRAR and debt equity ratio and all the financial ratios. But yes, definitely, looking at the opportunity, we need to revise this number, but I think the time of revision is still to come. And there are

so many

things which are opening up from the Government of India side also. And now we are into the era of urban reforms and a lot of things we are working with our Ministry, including how to come out with this program of Urban Challenge Fund.

So all these things will -- are the potential business development programs as far as HUDCO is concerned. So I think may be next financial year, if the things unfold, we may be working out some figures more than this INR3 lakh crores. But as of now, we will keep our INR3 lakh crores.

Sumeet Rohra: Thank you so much and wish you all the best.

Moderator: Thank you, the next question is from the line of Aakash Goel from Tara Capital Partners. Please go ahead.

Aakash Goel: Congrats on a good set of numbers. Sir, I just wanted to get some clarity on a statement you just made in a recent interview. You were talking about the RBI giving us advice to become a 75%

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infra lending company. And I think currently, as per your PPT, I can see that the urban infrastructure is roughly around 61% of the mix and you're talking about reaching that 75% mark by FY '26. So does that mean that this year we will see a significant shift in the mix in terms of affordable housing and urban infra? And if so, then how does it impact your margins?

Sanjay Kulshrestha: Yes, Aakash, there are 2 things. One is the RBI 75% guidance that has been given as a part of the IFC. Second is the harmonized list. So what RBI is saying that out of total lending, the 75% is towards the infrastructure side. And as per the harmonized list, the affordable housing is under the infrastructure category. So regardless of this urban infrastructure, presently, we are just touching 70%. So the RBI mandate is only for the 75%. So in 70%, it is urban infrastructure, 60% that you had told.

And another 10% is coming from the affordable housing, which is also under the harmonized list of the infrastructure. So we had already achieved 70%. So this year, I think we will be easily achieving this 75% as advised by the RBI.

Aakash Goel: Okay. And can you give some sense about how the spreads are between the infra category of loans and the general affordable housing side?

Sanjay Kulshrestha: I didn't get the question.

Aakash Goel: The spread difference, like what you're saying the 70% will go to 75%.

Sanjay Kulshrestha: Yes. So the major spreads are coming from the infrastructure financing only. And since we are a Government of India company, so -- and we also want to support the affordable housing and economically weaker section housing through this PMAY. So our rates are minimum for that category.

But at the same time, we also understand these houses are the epicenter of the infrastructure growth. If we are talking about 30 million households to be created under PMAY 2.0, then at least 5x kind of infrastructure growth will come into the states. So it may be minimum spread for these kind of loans, but it is cross-subsidized through the infrastructure funding to maintain the NIMs and the spreads as per the guidance.

Aakash Goel: Got it. And sir, my next question was on the cost side, the funding side. So you have mentioned about the 54EC the capital gain exempt bonds and the zero coupon bond. So any plans that we have? So like how much are we looking to source from these bonds and say -- and of course, like we -- it might not get into our costs immediately in the next 1 year. But like if I were to take a medium-term horizon, say, from a 2, 3 year perspective, how much do you think these bonds can come in and benefit our cost of funds?

Sanjay Kulshrestha: 54 EC, we had just launched. Yesterday, we had launched this 54 EC. And the market is very supportive because these proceeds are coming out of the housing sector only. So HUDCO is a natural choice, and it's a good brand name across the retail segments also. So I think w

e have a
very good takers.

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But as you have rightly pointed out, in first year, we are not expecting too much because the existing players are also there. But since we are starting from the clean slate, our domain will be the customer service, paperless kind of working and reaching out to them, which are missing out this opportunity of 54 EC. So there are lots of leakages, which is limiting the market.

So I think we are working on a clean slate with no target on this for first year. But we will be very, very aggressive to take these kind of funding. But yes, within 2 to 3 years of the time, we are very hopeful that we will come out with a good figure because I don't know what can be the figure, but we will be more aggressive towards this window. But the government has also approved this zero coupon bond also this year. So it is around INR5,000 crores zero coupon bond. So this will further add to contributing towards this reduction in cost of fund.

Aakash Goel: Sorry, did you mention INR5,000 crores, sir?

Sanjay Kulshrestha: Yes, INR5,000 crores, zero coupon bond.

Moderator: Thank you. The next question is from the line of Vijay Singh from Mirae Asset Sharekhan.

Vijay Singh: Good morning sir, this is Vijay here. Congratulations on a good set of numbers. Sir, just could you color on NIM, net interest margin, how it is likely to be in next 2 years, while the rate of interest is going down?

Sanjay Kulshrestha: We will be maintaining these levels. We had improved from 3.18% to 3.22%. So 4 basis points we had improved. So we are expecting some rate cuts. So another few points increment will come towards the NIM also. And I think it will be around 3.25% or 3.3%, not more than that because we want to create a viable and sustainable kind of infrastructure. So the basic is the

viability. So we don't want to load with extra interest cost on the projects. And at the same time we want to become the competitive and no compromise on the assets. So I think it is within this 3.25% to 3.3% levels.

Moderator: Thank you, a reminder to all participants that you may press star and 1 to ask a question. The next follow-up question is from the line of Ramesh Damani from RSD Finance Limited.

Ramesh Damani: I just wanted to ask you 2 quick questions. You said that you don't have any targets for private sector lending. But what do you expect to say, at the end of this year, the end of 2030 to be as a percentage of your loan book will be 5%, 10%? Do you have any idea about that? And secondly, have we written back any amount of the NPAs this year? Maybe just shed some color on that please, thank you.

Sanjay Kulshrestha: So our Director (Corporate Planning), will be answering this.

M Nagaraj: Good morning Ramesh ji, so with regard to private sector lending, so we are very, very cautious and careful to begin with. We will go with the reputed rated agencies only at the beginning. Based on our past experience where we burned our fingers, we would not like to commit the same kind of mistakes.

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So without any targets, we will be cherry-picking some good projects so that portfolio will get added and also margins will also be improved. We'll be going in fact, risk-based pricing, depending upon the viability of the project, project to project we'll be pricing it, which will be very competitive in the sector.

Ramesh Damani: Okay. So no targets at all. And what is your NPA write-back this year? Is there any NPA write-back?

Daljeet Singh Khatri: During the previous financial year, we had a write-back of around INR600 crores as a part of recovery from the NPAs.

Ramesh Damani: And how do you account for that, sir, could you just tell me that? How is it accounted for? Where do you account it for in the P&L?

Daljeet Singh Khatri: Yes. It is

by way of write-back -- I mean, write-back of the provision which we have made as part of ECL provisioning because almost 100% of my private sector NPAs have been provisioned. So whatever principal which I recover out of the resolution of these NPAs, they are taken to the profit and loss account by way of decrease in the ECL provisioning.

Ramesh Damani: Okay. So it's about INR600 crores this year, right?

Daljeet Singh Khatri: Total was INR358 crores, out of which -- I mean, total was INR600 crores, out of which INR350 crores was principal and INR300 crores was towards the interest.

Ramesh Damani: Okay. And do you have any idea what it should be this year, if there should be write-back or write-offs, extra?

Daljeet Singh Khatri: Current financial year, we are expecting a recovery of around INR400 crores, out of which one major recovery has already been done in the -- I mean, current quarter, I should not be, in fact, sharing with you. But yes, one major account has been resolved in the current ongoing Q1. And we are optimistic that we will recover around INR400 crores to INR500 crores from the resolution of the NPAs during the current financial year.

Moderator: Thank you, the next question is from the line of Rati Pandit from Nirmal Bang Equities Private Limited.

Rati Pandit: So I have a couple of questions. First is, what is our current order book? By order book, I mean the outstanding sanctions? And in what period it is expected to get disbursed? And also, usually, what part of sanctions are converted into disbursements? This is my first question.

M Nagaraj: Actually, if you see our financial figures as on 31st March 2025, we have done sanctions of INR1.27 lakh crores, whereas a disbursement of INR40,000 crores. That shows that almost 3x of what we normally do a disbursement. On an average, madam, project like this is around 2 years.

If you sanction in the first quarter of financial year, the amount, that will get disbursed over the next 2 years. So depending upon the milestones or project progress, we keep on disbursing. We

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also ensure that the company which is borrowing will also invest in their share. So in fact, we have a very good pipeline.

So I would like to give one small example of Maharashtra, is very progressive. Next is Uttar

Pradesh. The kind of progress is happening, especially in road sector, plus also urban mobility, plus certain sectors like airports and seaport, tremendous potential is there, ma'am.

Sanjay Kulshrestha: So I'll just give you the figure. We have a committed pipeline of slightly more than INR2 lakh crores, which we had sanctioned in last financial year and this financial year. So it's a very committed kind of pipeline, and we are continually working to create this pipeline through these MOUs or through one-to-one interactions or through the counterpart funding required from the Government of India project.

So, the pipeline is not a problem. There is a lot of potential in the infrastructure segment across the country. So now we have INR2 lakh crores more pipeline and around INR8 lakh crores MOU we had already signed, so it will be coming up within a year or 2 years of the time.

Rati Pandit: And my second question is regarding this capital adequacy. It has been around 46.6% as per your disclosure for March. So given the present high loan growth rates, when do you think we will need to raise capital?

Sanjay Kulshrestha: I don't think so, Madam because whatever ratios or whatever projections that we are making, we are keeping this in our thoughts that we should not -- because government will not infuse generally, it is not a trend. This is a profit-making company. So I don't think that infusion will be required at any point of time. And in case it is required, then there are several other ways also to infuse the capital in the company.

Rati Pandit: Okay. And my

third question is on the borrowing repricing. I mean what part of our borrowings are on MCLR? And what will be the repricing of asset and borrowing side in the next 1 to 2 years?

Daljeet Singh Khatri: Yes. As you see, my borrowing mix is most of my borrowing is fixed rate borrowing. I mean 50% of my borrowing is fixed rate borrowing by way of domestic bonds. And 50% of my borrowing is kind of variable, which is linked to repo or which is linked to the MCLR of the concerned banks. So presently, the interest rate scenario is very comfortable and favorable for the lenders like NBFCs like us.

And going forward, we are expecting that there will be another 1 or 2 repo rate cuts. So we intend to raise more of fixed rate bonds in such a scenario and retire some of the high interest rate bearing term loans, which we have taken from banks as there is no prepayment premium for that.

So we'll try to rationalize our cost of borrowing and look forward to reduce our borrowings by way of paying off those high cost bearing term loans, which we have raised.

Rati Pandit: So, in bank borrowings, all of it is on MCLR or some of it is on EBLR as well?

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Daljeet Singh Khatri: EBR is going to mature in 2028-29, madam.

Rati Pandit: No, I'm talking about external benchmark-linked loans, I mean, repo-linked loans.

Daljeet Singh Khatri: External benchmark.

Rati Pandit: Yes.

Daljeet Singh Khatri: External benchmark-linked loans, those are mainly from the loans which we have taken from the banks, whether those are medium-term loans or short-term loans. And those are variable rate borrowings. So we are examining those, and we look forward to retire some of those term loans, which are still carrying high rate as compared to the market -- today's market borrowing rate from domestic bonds.

Rati Pandit: And on the asset side, our reset period is 1 to 3 years, right?

Daljeet Singh Khatri: Yes.

Rati Pandit: Okay. So will this benefit the NIM in some ways because part of our borrowings would be repricing downward and asset side will take time to re-price. So what are your thoughts on this?

Daljeet Singh Khatri: Yes, there is always a slight time lag between the -- I mean, passing on the increase -- I mean, increase in cost of borrowing or decreasing cost of borrowing scenario. There is a slight time lag in that.

But yes, we quarterly monitor our internal prime lending rate, and we decide whether to slightly increase or slightly decrease our lending rates, which are applicable for new lending as well as the loans which are coming up for reset in the next 1 year. And yes, there is slight time lag. But in that case, in a decreasing interest rate scenario, we stand to gain and an increasing rate scenario, we slightly stand to lose on that count.

Sanjay Kulshrestha: So just to supplement, see, there is a difference between the retail loans and the bulk loan. So repo on a real time, it may affect the retail loans like personal loans or home loans or vehicle loans. But for bulk loans, since there is a reset of 1 year, we are generally going with the reset of 1 year. So even though we will cut down our cost in line with the market and in line with the bond yields and the bank loans, but the transfer will come on the reset date only.

So this is a normal NBFC best practices that we had adopted. So even though we will cut down our cost of funds, so it will be less cost for the new project or greenfield project, initially. And at the time of reset, it will be transferred to the old assets also.

Rati Pandit: And my last question is on the asset quality. In third quarter earnings call, you had mentioned about the J&K State and Ahmedabad Municipal Corporation, the NPAs are expected to get resolved in Q4. So what is the status on those accounts?

Sanjay Kulshrestha: So Ahmedabad, this onetime auction has already been happened. So it is in the advanced phase.

So we are expecting that by second or third quarter, the receipts will start coming to the company.

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So it is -- the second round of the auction is going on. Regarding the J&K, as you know, the loan is very, very less. It is only INR28 crores, INR29 crores, and it is slightly sensitive state as of now. So we are holding our discussions with the government here in Delhi. And we are hopeful that it will be resolved.

It's a very small amount because -- they also want to resolve, only thing is that they are slightly engaged in other parts which are more sensitive, more important. So we have no doubt that we will be resolving during this financial year. But since J&K is slightly different state, so we are treading cautiously on that front. But Ahmedabad will be resolved. One auction has already been done.

Rati Pandit: Sir, Ahmedabad, what is our exposure over here?

Sanjay Kulshrestha: Around INR124 crores only. And the value of the asset is good. So we are expecting good returns, and that's why we are telling them to go out with a second round of the auction to announce the prices.

Moderator: Thank you, as there are no further questions from the participants, I would now like to hand the conference over to CMD, Mr. Sanjay Kulshrestha for closing comments.

Sanjay Kulshrestha: So thank you so much for all the participants and asking us the questions because these questions will work as inputs for us that whatever market is thinking so that we will align our thoughts on that. And I'm very thankful that you had looked at our presentation and you had appreciated the results of the company.

And I can assure you that you will not find any stone unturned, and we will be keeping this pace of progress, including the NIMs or spreads, and we will be continually improving on all financial parameters. At the same time, we will not compromise on the asset quality. And we will be tapping different markets to cut down cost of our funds.

And there will not be any compromise on the compliance part or the risk part, and the company will remain highly governed kind of best practices standard. So with these words, I remain thankful for your support and cooperation. Thank you so much.

Moderator: Thank you. On behalf of Nirmal Bang Equities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

HUDCO/ List. Comp. /SE/2025 18th August , 2025

Sub.: Transcript of Earnings Conference Call held on 12th August, 2025

Sir/Madam,

In compliance of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find attached transcript of Earnings Conference Call held on 12th August, 2025.

The same shall also be available on the website of the Company i.e. www.hudco.org.in

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Mumbai – 400001 Listing Department
National Stock Exchange of India Limited
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Mumbai – 400051
SCRIP CODE: 540530 SCRIP CODE: HUDCO

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"Housing and Urban Development Corporation Limited
Q1 FY '26 Earnings Conference Call"
August 12, 2025

MANAGEMENT : MR. SANJAY KULSHRESTHA – CHAIRMAN AND
MANAGING DIRECTOR – HOUSING AND URBAN
DEVELOPMENT CORPORATION LIMITED
M R. M. NAGARAJ – DIRECTOR (CORPORATE
PLANNING) – HOUSING AND URBAN DEVELOPMENT
CORPORATION LIMITED
M R. DALJEET SINGH KHATRI – DIRECTOR (FINANCE)
HOUSING AND URBAN DEVELOPMENT CORPORATION
LIMITED
M R. LVS SUDHAKAR BABU – EXECUTIVE DIRECTOR
(FINANCE) – HOUSING AND URBAN DEVELOPMENT
CORPORATION LIMITED
M R. ACHAL GUPTA – GENERAL MANAGER (FINANCE)
– HOUSING AND URBAN DEVELOPMENT CORPORATION
LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and Gentlemen, Good Day, and welcome to the Housing and Urban Development Corporation Q1 FY '26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors. Thank you, and over to you, sir.

Sanket Chheda: Very good evening to all of you. We are going to discuss HUDCO's Q1 results FY '26. From the management side, we have with us Mr. Sanjay Kulshrestha, Chairman and MD; Mr. M. Nagaraj, who is a Director (Corporate Planning); Mr. Daljeet Singh Khatri, who is a Director, (Finance); Mr. LVS Sudhakar Babu, who is Executive Director (Finance); and Mr. Achal Gupta, who is General Manager, (Finance).

Without further ado, I'll hand the call over to Mr. Sanjay Kulshrestha for his opening remarks. Will follow that after, Q&A. Over to you, sir.

Sanjay Kulshrestha: Thank you, Sanket. Very good evening, everyone, and thank you for connecting the call. So I will start from the story of the HUDCO and we are continually outperforming the expectations of our investors and their stakeholders. The company is in a very healthy kind of journey, and we are continuing our journey towards the financing of the infrastructure across the country. During this journey, we have started exploring new areas, new segments, new infrastructure segment. We had also explored new states and other entities for which we can land. We had customized our product. We had come out with new policies also. We had corrected ourselves. We had revised, reformed and start performing, and this is a transformational time for the country in terms of the infrastructure.

We had aligned our objective in line with the Viksit Bharat theme of Government of India. Since we are under the administrative control of MoHUA, which takes care of housing and urban affairs, so we had expanded our products, starting from the metros to rapid rail in the mobility side, besides the road transport corporations, the mobility, e-mobility.

So all these things we had started. At the same time, we are also working in the water side, a lot of water projects, a lot of rejuvenation projects of the water that we are funding. A lot of demand is coming from the counterparts, requirement of the states to make the AMRUT 2.0 successful. We are also advising them as a consultant so that we should understand their project and see the impact of these kind of works across the country.

We are into the roads also starting from the state HAM models to state-owned EPC projects also. So a lot of capital-intensive requirement is coming across the country. And you can see in our sanctions that is a commitment for financing of the infrastructure projects, which is coming. And on a year-on-year basis, we are working as high as more than 30%, 35% across the sanctions.

If you see financial year '23, we had ended with around INR25,000 Crore of the sanctions and financial year '24, we had closed at around INR83,000 Crore. Last Financial Year, we had closed at INR1.27 Lakh Crore of infrastructure funding, which is on a year-to-year basis more than 55%, 60% of the CAGR.

On quarter-to-quarter basis, also, if you see from the last quarter, our sanctions has raised from INR14,000 Crore to INR34,000 Crore, which is a jump of around 143%. On a year-to-year basis, if you see the loan disbursements also, we had -- in 2023, it was INR8,400 Crore. And in FY '24, it was INR17,000 Crore

or INR18,000-odd Crore.

And FY '25, we had ended at around INR40,000 Crore. So clearly, we are doubling our impact, doubling our disbursement, which is actually improving our bottom line. On a year-to-year basis, if you see the loan outstanding, the loan assets, which are actually creating revenues for us, they had increased.

In FY '23, it was INR80,000 Crore and FY '24, it was INR92,000 Crore in FY '25, it has raised to INR1.24 Lakh Crore, and we had ended our quarter 1 at INR1.34 Lakh Crore. So you can see a very clear road map, very clear loan outstanding, which is increasing. The sanctions are increasing, the disbursements are increasing, the net worth are increasing.

And I'm sure that you will be happy that we are continuously growing at the rate of around 30% or so during last 2 financial years. So this year, sanctions also at around INR34,000 Crore, we

had already sanctioned in quarter 1, and we are targeting more than what we had done in last financial year, which was around INR1.24 Lakh Crore.

Similarly, the disbursement, we had achieved around INR12,800 Crore, which is all-time high for the Company. We are targeting around 30% of the growth, if you see from the last Financial Year of INR40,000 Crore. Similarly, on the loan book side also, we had grown by 30%. Now we are at 1.34%. All these things are happening, one, because of the opportunity which is available in the market.

Also, if you see our loan book, it is not so -- the volumes are not so high, and there are ample opportunities to fund big projects, big capital projects. There are exposures available. The financial ratios are very, very strong. If you see our debt equity ratio, it is only 5.93x. So which is a very, very healthy kind of debt equity ratio and which actually gives us the driving force to make more disbursement, to make more borrowings.

From last 10 quarters, there is no new NPA. And I'm very happy to inform that we are going towards -- we are reaching towards a zero NPA company and now our net NPA has reduced to slightly less than 0.1%, which I think is the best in the market. Liquidity buffers are very strong. We had a lot of sanctions from the bank, and we have a very strategized course of action for borrowing, be it the bank loans, repo-linked loans, bonds or international commercial borrowing or FCNR.

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So all these things are very judiciously decided. And as a result, we have been able to reduce our interest rate. In last quarter, we had borrowed around INR20,000 Crore at around 6.32%, which is a remarkable achievement in the market. And thanks to the RBI for reducing this 100 basis points and by judiciously using our loans from the banks, which were repo-linked and all these things are reset.

So, all these things are contributing towards the revenue also. Our revenue is growing more than 34% on a year-to-year basis. The net profit is continuously increasing and it has increased by 13% on a year-on-year basis. The asset quality, even the gross NPA reduced from 1.67% to 1.34%. And within 16 months of time, we are trying to make the HUDCO a --net zero NPA company.

So our ratios are very strong. If you see the spreads, we are continuously maintaining around 3% -- NIM of 3% and spreads of around 2%, 2.2%, 2.3%. So we will continue to make our efforts to maintain these kind of levels. And at the same time, we will be working with the speed without taking any risk on our asset quality, without compromising on the asset quality. If you see, there are a lot of potential which are coming in the way of the company.

And now we will be opening up towards the urban infrastructure also. The government has already announced the Urban Challenge Fund, and we are continuously working with the Ministry on that. Very soon, we will be opening our offices -- dedicated offices for urban financing, in our regional offices, th

at window will identify big projects and take care of the advantages under the Urban Challenge Fund.

So there are a lot of things which we are expecting within a quarter to come, including the UCF. At the same time, we are working with the metros also for refinancing kind of products that the foreign currency loan be replaced by the domestic loans now since these loans are coming at a very competitive pricing.

So I can only say that HUDCO enters into the -- in the remainder period of FY '26 with a well-capitalized balance sheet with a strong sanction pipelines and the diversified funding avenues, and we will continue to sharpen our infrastructure-led development. So this is from my side as the opening remarks. Thank you so much.

Moderator: We have our first question from the line of Shweta Daptardar from Elara Capital.

Shweta Daptardar: Congratulations on a great quarter. Sir, a couple of questions. So if I look at disbursements for the Q1, the INR12,800-odd Crore. So of course, Q-on-Q basis, we have done really great. But if I look at year-on-year basis, then it has remained flattish. So do we have to read your -- or can you elaborate and throw some color on the momentum here?

And so just a follow-up there. So if I look at the entire FY '25, so the run rate, which we have maintained a quarterly basis, wherein Q1, Q2 looks slightly -- Q1 to Q3 looks slightly stronger. And Q4, we are somewhere around INR8,000-plus-odd crores. So is that the trend formation now on the disbursement front? Yes, that's my first question?

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Sanjay Kulshrestha: Okay. So I think from last year, we had taken an effort that all our disbursements will be regularized or uniform across the quarters. And in that effort, last financial year in the first quarter, we had achieved INR12,000 some odd Crore. This financial year also, we had already done more than INR12,000 Crore or INR12,800 Crore.

So generally, in financial institution, the quarter 1 is a bit slow and the acceleration starts from quarter 2, then quarter 3 and then quarter 4. So we had successfully reversed this exercise. And because of that, the turnover is continuously increasing and they are actually improving our bottom line.

So INR12,800 Crore is a very satisfying figure for us for which we were targeting. And with these figures also, if you can directly multiply by 4, we will be overachieving INR50,000 Crore of the disbursement. So this is an indication that what's there for this year in terms of the disbursement. Yes.

Shweta Daptardar: Okay. That explains -- yes, that explains, sir. Sir, second question, what is the lag between sanctions to disbursements?

Sanjay Kulshrestha: I think generally, we are working with the capital-intensive capital infrastructure project where the construction time starts from as low as 3 years to 4 years of the time. So sanctions to disbursement -- in a broader sense, you can say it is around 35%. But you cannot match it from the sanction to disbursement because we are now disbursing whatever sanctioned before 1 year or 2 years or before 3 years as well.

So it cannot be mapped on project-to-project basis. But generally, it is around 35%. So here also, the first quarter, we had sanctioned around INR32,000 Crore -- INR34,000 Crore and disbursement is around INR12,000 Crore, so around 35%.

Shweta Daptardar: Sure. Also, sir, considering over 70% of our book is either guaranteed by state or through budget provisions. So we do not suffer directly credit losses. But does project implementation delays or government capex momentum delays and execution, especially from the Central Government-led projects, do these -- or does this impair our loan growth momentum or disbursement traction, if not asset quality?

Sanjay Kulshrestha: No, I think this is a very pertinent question, and that's why you can see our sanction pipeline. So whatever w

e want to achieve, now we are taking that into the sanctions also. If you see, last year, sanction was INR1.27 Lakh Crore. And before that, it was INR83,000 Crore. This year, around INR34,000 Crore. All put together, we have a sanction pipeline available at hand more than INR1.5 Lakh Crore.

At the same time, we have signed MOUs with the multiple states ranging to around INR7 Lakh Crore to INR8 Lakh Crore. So we will be doing at this pace only the disbursement. I have no doubt that we will be overachieving our disbursement schedule. And at the same time, whatever the RBI guidelines are there for the DCCO, we are complying to those guidelines.

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And all the DCCOs are being earmarked in the sanction letters only, and they are continuously being monitored so that there should not be any slippage. And I think our borrowers are also well versed with all these kind of guidelines.

Shweta Daptardar: Right, sir. And just I'm squeezing in very last question on forex losses. So I understand that there has been good amount of volatility, especially in past 1 quarter, which has led to foreign exchange losses. So how are we hedged? What is the breakup of dollar versus Japanese or any other currency denomination-led exposure? And yes, so how are we tackling this?

Sanjay Kulshrestha: So the Company has a very clear thought-out kind of hedging policy. And whatever we are doing, it is as per hedging policy. I can give you the example. Generally, we go with the data of 10 years of the currency movement, and we will be very, very conservative while deciding our levels. And we take the 1-year forward levels.

And whatever loss we had done, you are right, it is only because of the 1-day movement of the CHF. This is only -- there is only one reason and which was not in our hand, and it has crossed the 10-year cycle of the CHF. Our hedging was done well within the ranges, rather, our forwards are very well.

Even we had over -- we had taken much ahead of 1 year forward levels. The protection levels were very, very high. But as you have also mentioned, it is only because of the global economic scenario because of that, all these losses are there. But, I'm sure that now we have learned our lessons, and we have to live with this all global facts that are happening and evolving.

And for all future things, we are correcting our course of action, and we are monitoring on a day-to-day basis so that these kind of phenomena should be avoided or if at all something goes

bad, it should be as less as possible.

Moderator: We have a next question from the line of Sumeet Rohra from Smartsun Capital.

Sumeet Rohra: Firstly, many congratulations on a fantastic loan book growth of 30% and 8% quarter-on-quarter, very heartening to see that. Sir, just 2 questions. One is that you already touched upon this mark-to-market...

Sanjay Kulshrestha: Sumeet, sorry to interrupt you. Can you please be a bit louder?

Sumeet Rohra: Yes, sure. Firstly, many, many congrats on a fantastic loan growth of 30% year-on-year and 8% quarter-on-quarter. Now sir, just 2 things I want to check with you is that you spoke a bit about this mark-to-market loss on this forex borrowing. So is my understanding correct that this is about INR100 crores?

And sir, secondly, if you can just talk a little bit about your NIMs because your NIMs, which were at about 3.2% have come down to about 2.94%. So how do you basically see NIM shaping up from here till the end of the year, sir?

Sanjay Kulshrestha: So you are right, it is mark-to-market loss because of the currency fluctuation. It's a onetime phenomenon that had happened. And regarding NIM, you see most of the disbursement in this

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quarter had happened in last 15 days. So they had not converted into the NIM. They have not converted into

the income. But I think we will be successfully be able to maintain our NIM more than 3% during the financial year.

And you will see the corrections because this income will come in the second quarter. We will be crossing 3% figure. And this is a slight variation in the NIM that had come because of the last fortnight disbursement, high volume of the last fortnight disbursement. But I'm sure that it will be recovered in the quarter 2.

Sumeet Rohra: Sure. And sir, just I mean, if I can ask you one more thing. So now we are 45 days into quarter 2 broadly. So as we see today, is the foreign exchange kind of stuff stable? Is the -- I mean, are the mark-to-market variations stable now in this quarter at least?

Sanjay Kulshrestha: Yes, yes. They had been stable as of now, but things are very, very volatile, and we all are waiting for the 15th August meeting. So -- but as far as HUDCO is concerned, CHF is well within our protection levels as of now. Dollar is going as high, but our protection levels are very high. So on dollar side, I don't see any issues there. But we have to see that what happened on this 15th of August, and we have a very close watch on this kind of global development.

Sumeet Rohra: Sure, sir. And sir, I mean, if I just may ask one very quick thing. So sir, I mean, you are growing at a fairly fast clip as evident of the 30% growth. So sir, this loan book guidance of INR1,50,000 Crore honestly seems to be very conservative. So are you going to revise it upward now? I mean, when could we hear something on that?

Sanjay Kulshrestha: Yes. As per arithmetic, we will be crossing INR1.50 Lakh Crore, may be lending at around INR1.55 Lakh Crore, INR1.60 Lakh Crore something of that kind. So revision, we are not done.

But I think as per the arithmetic is concerned, you are right, we will be crossing this figure.

And after quarter 2, we will be revisiting and we'll see that if the guidance needs to be changed.

But yes, you are right, we will be crossing INR1.50 Lakh Crores may be in the quarter 3 or sometime before that.

Moderator: We have our next question from the line of Arman from Blue Sky Fintech.

Arman: First of all, my congratulations for a good set of numbers, especially the loan book side. My question is on return on...

Sanjay Kulshrestha: Can you please be a bit louder.

Arman: First of all, congratulations on great set of numbers, especially growing on the outstanding book side. My question is regarding return on assets. Like NIMs previous question we answered, return on assets also seen a clear dip in Q1. So what will be the guidance for return on assets especially for FY '26? And what will be the trajectory going forward for FY '27 and FY '28?

Sanjay Kulshrestha: So I think you are talking about ROA. It had come down a bit because of the last fortnight disbursements. It's a temporary phenomenon, which will be corrected in quarter 2. But if you

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see our return on equity, it is already more than 14.28%. So it will be corrected. So it's only an arithmetic ratio.

So in quarter 2, I think we will be again coming back to the same terms of may be 2%, 2.2% or

2.3% kind of figure. So it is a temporary phenomenon and only reason is the last fortnight disbursement. I would just like to expand the question. If you see our main objective is to grow our loan book now because whatever we can do in the quarter 1 to enhance our loan book. All measures were taken so that all these income and all these ratios will be improved in this financial year. So because of this, this dip is there, which is temporarily affair. But if you see the loan book, the kind of loan book, which we are -- we have successfully increased is around 8% in 1 quarter. So multiplication can show it is around 32%. So our main objective is to enhance our loan book now.

Arman: Okay. Got it, sir. And my next question is regarding th

e -- already the loan book guidance, which

we have already told. And what -- how much percentage of our borrowing is floating borrowing?

Daljeet Khatri: Around 1/3 of our borrowing is floating and around 2/3 of our borrowings is fixed rate borrowings of the total borrowings of INR1,16,000 Crore.

Arman: Okay. And for the fixed rate borrowing, when is the reset? Is there a bifurcation for the fixed rate borrowing reset timing?

Daljeet Khatri: I mean all the -- basically all these bond market borrowings, domestic or you know, in case of these borrowings -- bond market borrowings are normally fixed and the borrowings of short-term loan borrowings and medium-term loan borrowings from banks, which we are taking, they are basically floating rate borrowings.

Arman: Like the bifurcation is around?

Daljeet Khatri: Bifurcation is around -- 40% is from bonds and then another 20% is external commercial borrowings and the remaining is short-term, medium-term and long-term borrowings from the banks.

Arman: Okay. Got it, sir. And the similar bifurcation on the asset side, floating as well as fixed?

Daljeet Khatri: Our asset side is semi fixed rate borrowings, semi-variable, you can say, or semi-fixed, you can say, because all our -- I mean, asset side, all our lending is semi-fixed. Semi-fixed in the sense, they all are -- have the option of reset either after 1 year or after 3 years, barring a loan book of around INR2,000 Crore, which is floating rate borrowings -- I mean, floating rate assets. Rest of the borrowings are semi-fixed. Most of them are having 1-year reset.

Arman: Okay. So majority of our lending is having a 1-year reset, right?

Management: Yes, majority, yes.

Moderator: We have a next question from the line of Gaurav Kochar from MLP.

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Gaurav Kochar: Sir, I have 3 questions. First is on the sanction pipeline. You indicated that you have currently sanctioned pipeline of INR1.5 trillion, which has not been disbursed yet. So just wanted to understand by when do we expect this to be disbursed?

I understand there will be further sanctions that will come through the year. But on this INR1.5 trillion stock of the sanctions that we have, by when do we expect this to get disbursed? Or what is the time line by which your sanctions get disbursed?

Sanjay Kulshrestha: So it is around 3 years. So 3 to 4 years of the time, the complete disbursement out of this INR1.5 Lakh Crore will be there. And in the meantime, we will create the further strong commitment of the sanction.

Gaurav Kochar: Sure, sure. Understood. So theoretically, even if you don't sanction anything from here on, this INR1.5 trillion is good enough to give you INR50,000 Crore kind of disbursement every year for the next 3 years, theoretically?

Sanjay Kulshrestha: That's true.

Gaurav Kochar: Okay. Okay. Sure, sure. And sir, second is on the size of the opportunity. Now infra power and all these sectors, I mean, there are a lot of players, both government and private, including banks.

So if you can just highlight on what is the size of opportunity? And for us, how -- there would be 2 scenarios. One would be where most of the government agencies, banks, all of them are competing.

And there would be certain projects where the competition is very little, and we have some unique positioning over there. So if you can highlight both these aspects as to what would be the size of the opportunity where we are uniquely positioned may be over the next 1 or 2 years and the size of the opportunity where there is intense competition from banks.

Sanjay Kulshrestha: See, I can give you only one example. There was a program of Government of India, the National Project Pipeline, which was created in 2019 till 2024. Now it was INR1.11 Lakh Crore pipeline.

It is revised by 1.6% recently. So this is the one guidance that I can give you in terms of the creation of

the infrastructure.

But if you see the CRISIL and the McKinsey report, they are talking about total investment of \$ 300 billion -- more than \$ 300 billion across the different sectors. So the pipeline is very high. And I think all the lenders have a space to set up. Only thing is that like some of the institutions are segment based.

They are working for 1 segment or 2 segments. HUDCO is a company which is not agnostic to any sector, and we are funding to each and every sector. We are serving the requirement of state government. In some states, the roads may be the priority, but in other states, the river linking is a priority.

In some states, the new towns are coming and in some states, the satellite towns are coming. So all these things are giving a clear arbitrage and clear road map for the HUDCO business model.

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But I'm sure that all the institutions, be it the energy transition or be it the mobility, all these things are contributing and the main driver is the urban.

So all these things are created and starting from the HUDCO. And since we are funding from the housing to all the entire gamut of the urban infrastructure without having bar on any sector.

So we are, I think, very comfortably positioned, and we can choose our right to select good projects, good entities, good asset quality, and that's what we are doing.

Gaurav Kochar: Understood. And so, sir, in that context, if your last year's sanction was INR1.27 Lakh Crore this year, can we expect INR1.5 Lakh Crore plus kind of sanctions? INR34,000 Crore plus is already done. So is that a fair ask that maybe INR1.5 trillion is where we should be in terms of total sanctions for this year?

Sanjay Kulshrestha: Yes, it will be something more than INR1.27 trillion. That's what I can say. We have not devised any figure as of now. We are working on a lot of opportunities. Our main target is the disbursement. So we generally target our disbursements. So that is already decided. And it will come out of the pipeline.

M. Nagaraj: I just would like to add one sentence here. So if you see that in line with Viksit Bharat, most of the states, majority of the states are also coming, like Maharashtra, for instance, I would like to give a small example. Recently, they have come out with Vision Maharashtra 2047, Viksit Maharashtra. So most of these big, big towns, especially Nashik, Nagpur, Pune, these towns, they are coming out of the beautiful project.

Let me give you only one example of Nagpur. They're creating a new city called Navin Nagpur, just on the outskirts, which is on the way -- on the main highway of Nagpur to Mumbai Expressway plus Golden Arch Ring Road, there being created. Like many examples, we can quote it in the state of Maharashtra.

Similarly, Tamil Nadu recently had Invest Tamil Nadu; again, Invest Karnataka. So each state is competing with each other. So there is a huge potential exist. So HUDCO continues to get tapped by especially in infra.

Gaurav Kochar: Sure, sir. Sure. And sir, just to understand your margin dynamics, you said Q1 typically because the disbursements were towards the fag end of the quarter, that resulted in yield moderation, it will improve going forward. So sir, just to understand what would be the incremental yield that we would be sanctioning or disbursing at? So let's say, of the amount that you have sanctioned or of the amount that you have disbursed, what would be the blended yield and whether that yield would be similar to what our book yield is?

Sanjay Kulshrestha: See, we are into the era of discounting on repo rates and which can be clearly seen and visible from the borrowing. So I think at this point of time, talking about the yield of, say, 9.5% may not be right. But keeping our spreads and the NIM constant or healthier that is more important for us.

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So since we are also reducing our cost of funds and at the time of reset, we are passing to our borrowers also because we firmly believe that whatever infrastructure is created in the country, it has to be paid by our citizens also. It should be more viable, more sustainable, then only the assets are fruitful, they will be good for country.

So here, the yield may be corrected because of the reduction in the repo rate, may be around 9.1%, 9.2% will be the yield. That's what I can foresee as of now. We are also expecting some rate cuts on repo, which will further redefine the yields. We are also expecting something from

the Fed side, U.S. side because we are planning our MTN program. So all these things are dependent on such kind of time.

Gaurav Kochar: Understood. So sir, if I just said it correctly, the spread is still maintained. So whatever benefit we get on our cost of fund, that we pass on to our borrowers. So our spread is maintained even on incremental basis. So sir, you mentioned...

Sanjay Kulshrestha: Unlike the bank passes on the date of reduction of the repo, we pass it on the 1-year reset on the basis of 1-year reset.

Gaurav Kochar: 1-year reset. Got it. -- Right. Understood. Understood. And sir, on our cost of fund, I think you mentioned 6.32% as the incremental borrowing for INR20,000 Crore. Did I hear that correctly?

Sanjay Kulshrestha: 6.32% is -- yes, you are correct.

Gaurav Kochar: This is for the first quarter, the average rate that we borrowed.

Sanjay Kulshrestha: Yes. You are right.

Gaurav Kochar: Okay. Okay. And sir, the second repo rate cut happened in June. So is it fair to say that the incremental borrowing cost would further come down? The 6.32% was average for the quarter.

So this number would have even fallen to a slightly lower number in July, August. Is that a fair understanding?

Sanjay Kulshrestha: Actually transmission, if you see on a long-term basis, it has not happened. For 10-year bond, we make steady -- the past discount is only 20 basis points as of now. But as you know that the CRR is reduced after September and other form of liquidity will come to the market. We are also expecting that some correction in the bond market will happen.

Gaurav Kochar: Sure. Got it. And sir, what percentage of your borrowings would be linked to G-Sec, 10-year G-Sec and what percentage would be repo in your floating rate liabilities? And second derivative to this is what would be the average duration of your liabilities?

Sanjay Kulshrestha: So we don't go for the G-Sec. We only go for the repo because strategically, we have decided that since the loans are linked with the repo, so on the day of the reduction, they will be reset.

And what was the second question?

Gaurav Kochar: Percentage, around 15%.

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Gaurav Kochar: Percentage of...

Daljeet Khatri: Yes, I'm Daljeet Khatri, Director (Finance). Your second question was perhaps regarding what percentage of our borrowings is linked to repo rate.

Gaurav Kochar: Yes.

Daljeet Khatri: So around 20% of our borrowings represented by bank term loans is linked to repo rate.

Gaurav Kochar: Okay. And on your fixed rate borrowings, what would be the average maturity rate?

Daljeet Khatri: Average maturity is 5 years. We normally raise 3 years, 5 years and 10 years, but the average remaining maturity on our fixed rate borrowings is around 5, 5.5 years.

Gaurav Kochar: Understood. Understood. Sir, just last question on the target of zero NPA -- net NPA. And we still have some pool of NPA. So in terms of resolution, maybe in the next 1 or 2 quarters, do you see any resolution in advanced stages? We saw some recoveries in this quarter. So do you expect some recoveries in the second quarter as well?

Sanjay Kulshrestha: Yes, we are working on that. Definitely.

Gaurav Kochar: Okay. And any sort of amount tha

t you can quantify what kind of recoveries we can expect in the second quarter?

Sanjay Kulshrestha: See all these NPAs are more than 20 years back. So I cannot say what will happen for this quarter, but I can tell you for the financial year that the figures will be very, very healthy because if you see around INR1,157 Crore of our NPA loans are under different stages of the NCLT only.

And for most of them, either the liquidation or the resolutions orders have already been passed.

Only thing is that we are waiting for the approval from the lenders and the bankers, there are some few minor issues. So I cannot describe the time lines. But yes, of course, within 6 months, I think a lot of things will be coming on.

Moderator: We have our next question from the line of Nemin Doshi from Geojit PMS.

Nemin Doshi: Firstly, sir, any update on our PMAY 2.0 disbursement side that we will be seeing the growth in disbursement in this financial year or in the coming financial year?

Management: Actually, PMAY 2.0 has been designed in such a way that all the states have to identify under 2, 3 verticals, especially BLC, Beneficiary-linked one. Second one is in CLSS. So majority of the states are now -- they started sanctioning. Maybe in Q2, Q3, we will have major sanctions and disbursements. As of now, it is yet to pick up. So gradually, it is progressing.

Sanjay Kulshrestha: So PMAY around 7 lakh household loans are already sanctioned by the Ministry, MoHUA and the applications of around 50 lakh households are pending with them. Maybe within this month,

these will be sanctioned. And after sanctioning, it will go to the state and then they will come out with their counterpart requirement.

At the same time, they have to come out with the beneficiary contribution also. So see, under PMAY, this is the most vital thing that is there now in the guidelines that beneficiary has also needs to contribute for creation of that house. So state to state, these figures are different. They are working on that to what kind of beneficiary contribution will be there.

But from the Government of India side, 2.5 lakh has already been sanctioned for 7 lakh households and 50 lakh households are under the pipeline of the sanction. So I'm sure that by quarter 3 or quarter 4, the states will start identifying their counterpart requirement and coming back for funding from HUDCO.

Nemin Doshi: Got it, sir. Sir, with respect to this PMAY, so can we assume -- can we say that the growth in the disbursements, if at all, the PMAY disbursement happens in this financial year, our growth of the given guidance of the current run rate of disbursement would surely exceed -- is excluding the PMAY disbursements, if any?

Sanjay Kulshrestha: We are excluding the PMAY disbursement because PMAY disbursement is dependent on many factors. So we have not taken into account. So whenever they are -- get matured and whenever the states are coming, then only I think we will be factoring in. But as of now, we have not factored into our figures.

Nemin Doshi: Fair enough, sir. Sir, last question from my side, sir. With respect to our liability side, do we see any further benefit coming in towards the fag end of this quarter or next quarter with respect to cost of borrowing side, especially with respect to our addition since our loan book is growing so fast. So do we see any further capital raise at low cost? And at what levels will we be comfortable on our debt-to-equity side?

Sanjay Kulshrestha: I think 6.32% figure is quite competitive to achieve, and we had already achieved. So now we will be competing with ourselves only. So we are talking with other banks also regarding the squeezing the spreads also. But there is some bottom line. So I think we are very nearing to our bottom line.

And if the repo rate is reduced, which is -- which I foresee that it may come

or the tariff

settlements had happened, then of course, there is always a space of correction. But all these things need to be settled first.

Moderator: We have our next question from the line of Raghu from Travest Capital.

Raghu: I was just having a look at your presentation in which you have mentioned earlier also the incremental cost of borrowing is 6.32% for the quarter. I just have a small doubt because in the section of bank loans, the short-term INR11,992 Crore, the average cost is 6.24%. Please correct me if I'm wrong. The bond yield presently is something around 6.2%, 6.3%. How are we getting a bank loan of INR11,000 Crore at 6.2%? Am I missing something here?

Sanjay Kulshrestha: No, no, you are not missing anything. Because the repo has reduced, now the repo is around 5.5%. So we are getting at a very competitive terms from the banks. So it is only the skill of the negotiation that we had achieved this kind of short-term rates from the banks.

And see, if you see from the banker side, they have a lot of exposure left with the HUDCO, which is not there with other institutions. So we are taking that kind of advantage of the exposure limits, which is available with the banker.

Raghu: No. But at least -- really the question I was having is the government of India is paying 6.3% to borrow for its loans. The bank is lending at 6.24%, somehow it seemed odd to me. So that is the reason I'm asking. So is there a fixed percentage bank should lend for this priority sector and HUDCO comes under that. That's why they are giving us this loan? Or what is the reason?

Sanjay Kulshrestha: No, no. I think there is slight correction. These are short-term loans of 1 year, right? And Government of India is taking the SDLs, which are of around 5 years or 10 years of the time. So their rates cannot be compared with these rates. So our long-term rate, if you see -- if you compare the bond rates, we had taken a 5-year loan bond at around 6.64%. So it can be compared with the 5-year borrowing of the state government.

Raghu: Okay. Okay. And the reason for taking the short-term bond, is there any specific reason? Why are we doing that? Will it cause any...

Sanjay Kulshrestha: We are doing our treasury. Actually, we are doing our treasury management, and we are looking at the markets to settle down so that these can be converted to the long-term loan. So whatever advantage we can take during this time gap, that's what we are taking.

Moderator: We have our next question from the line of Parth from DAM Capital.

Parth: Sir, my question is on growth again. So sir, as you rightly mentioned that we are sector agnostic.

There is abundant opportunity. We would be financing even in urban financing and PMAY 2.0.

So with a large TAM available unlike many other peers here in the same sector or in the government undertaking.

Sir, do you think there would be an upside risk to our growth projections for FY '30 as well? So we target INR3 trillion by FY '30. But do we think we will achieve much before FY '30 since there's a huge opportunity available and we expect our disbursements and sanctions to remain healthy from here on?

Sanjay Kulshrestha: Yes, that's what I was talking that for this year, we will be overachieving the targets, which we had set around 1.5 years back. So I think there is still some time left till 2030. So we will be revising in the third quarter, looking at the pace of the PMAY because under PMAY, we are still to confirm what kind of disbursement the states will be taking.

So that is only the questions that is unanswered. Otherwise, our sheets are fully filled and we are ready to come with the targets. Only we need to fill this PMAY figure. So even though the

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PMAY triggers in the late '27 or '28, even though we will be

achieving that INR3 Lakh Crore

and the corrections will be made looking at the PMAY progress.

Parth: Okay. Got it, sir. Sir, just one more thing. You mentioned that there is a lot of opportunity for getting opened in the urban financing sector. So what are the kind of projects you would typically target? And how big that opportunity would be for you?

Sanjay Kulshrestha: So till now also, whatever we are doing, it's in the urban segment only. But now this opportunity of Urban Challenge Fund is coming up. Honorable Finance Minister has announced during her budget speech, which is a subsidy of INR1 Lakh Crore will be extended by the Government of India to the states.

The INR1 Lakh Crore has to be arranged by the states either through loans or their own accruals or through FDI or some municipal bonds or HUDCO loan or multilateral loan. And for INR2 Lakh Crore, they have to identify the PPP players. So the private sector will also be there. So it's a unique kind of model where the State Government, Government of India and the private player will be there.

And for this 50%, they have to make the project bankable. So that the bank loan or the lenders' loan will come to that segment. So we are -- now we have started the private sector funding also. We had made our guidelines for entity as well as the sector. So we had already approved the guidelines for road and real estate. In times to come, we will be sanctioning our guidelines for port, airport and energy transitions also.

So I think this is a place because under UCF, the State Government will be requiring some funds that we will be doing. At the same time, the private player to make that project bankable, we will be funding maybe a private sector project. It is a very huge opportunity that will be coming in the next 3 to 4 years of the time line. So that's what I was talking about.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sanjay Kulshrestha: Thank you, Sanket, and thank you, dear friends, for joining. So I hope that we have been able to answer your queries to your satisfaction. Only thing is that I can assure you that we will be correcting ourselves during this financial year only. So whatever guidance that we had made to the market, we will be trying to overachieve that kind of guidance.

And looking at the opportunities available across the country and the kind of business model and the kind of confidence of the stakeholders, I'm sure that we will be overachieving. And regarding NPA, we are very serious to resolve all our assets which are under NPA. Even though the figures are very, very less, but at the same time, we need -- we want our books to be cleaned up.

At the same time, we will continuously wheel towards reducing our cost of funds, maybe different currencies will be there. We will continue to review our hedging policies and the

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monitoring will be on the day-to-day basis to avoid all such kind of things, even though the global uncertainties will be there.

And the compliance will be the most relevant part that we will not compromise on the compliance of the RBI or SEBI or whatever statutory agencies are there. So this is all for first quarter, I think, and let's wait for the second quarter to come. And I can assure you that second quarter will be much better than whatever we are discussing. Thank you so much.

Moderator: Thank you, sir. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

HUDCO/ List. Comp. /SE/2025 17th November , 2025

Sub.: Transcript of Earnings Conference Call held on 12th November , 2025

Sir/Madam,

In compliance of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of Earnings Conference Call held on 12th November , 2025.
The same shall also be available on the website of the Company i.e. www.hudco.org.in

This is for your kind information.

Yours sincerely
For Housing and Urban Development Corporation Limited
Vikas Goyal
Company Secretary & Compliance Officer

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Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001 Listing Department
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"Housing & Urban Development Corporation Limited
Q2 FY '26 Earnings Conference Call"
November 12, 2025

MANAGEMENT : MR. SANJAY KULSHRESTHA – CHAIRMAN AND

MANAGING DIRECTOR – HOUSING & URBAN
DEVELOPMENT CORPORATION LIMITED
MR. M. NAGARAJ – DIRECTOR CORPORATE PLANNING
– HOUSING & URBAN DEVELOPMENT CORPORATION
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MR. DALJEET SINGH KHATRI – DIRECTOR , FINANCE –
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MR. ACHAL GUPTA – GENERAL MANAGER , FINANCE –
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MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Housing and Urban Development Corporation, HUDCO Q2 FY '26 Earnings Conference Call hosted by Elara Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shweta Daptardar from Elara Securities. Thank you, and over to you, ma'am.

Shweta Daptardar: Very good evening to all of you. On behalf of Elara Securities, I welcome you all for Q2 FY '26 Post Earnings Conference Call of HUDCO. From the esteemed management, we have with us today Mr. Sanjay Kulshrestha, Chairman and Managing Director; Mr. M. Nagaraj, Director, Corporate Planning; Mr. Daljeet Singh Khatri, Director, Finance; and Mr. Achal Gupta, General Manager, Finance.

Without further ado, I now hand over the call to Mr. Sanjay Kulshrestha for his opening remarks, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Kulshrestha: Good evening, friends, ladies and gentlemen. Thank you for joining the call. Let me start with the story of HUDCO that we had started 2 years back. Today, we stand at 6 months since

inception

of around INR 92,985 crores, around INR 93,000 crores, which is highest ever sanction in the history of HUDCO.

Last year, during the same tenure, that is the H1 of the last year, we had achieved around INR 76,000 crores of the sanction. So, you can see there is a jump in the growth towards the sanction, and we had achieved around 22% of the growth in the sanction side. And now we are financing entire gamut of the infrastructure, which are covered under the harmonized list of Government of India. Similarly, if you see the growth towards the disbursement side, last year during H1, we had achieved around INR 21,700 crores. And this year, there is an enhancement of around 19%, and we had achieved around INR 26,000 crores during H1. So around 19% is the growth towards the disbursement.

Similarly, on the loan book side, if you see, we had grown up around 30% from INR 111,000 crores to INR 144,000 crores, we had grown. If you see the H1, we had -- our growth is around 15.8%. So, as we always discussed that our growth will be more than 25%. So we are maintaining our growth rate of around 30%.

If you see the borrowing side also, it is very promising, and we have been able to sustain our growth towards reduction in the interest rate and to place us as a very competitive player into the financing of the infrastructure, and we had raised around INR 32,000 crores at the rate of -- weighted average rate of 6.32%.

So, the resources we had tapped is entirely from across the taps, starting from the foreign currency borrowing to domestic loans to domestic funds from the refinancing. And also, we had Housing & Urban Development Corporation Limited .

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started our 54 E C contribution in a very smaller way, but it is a very accelerated kind of deposits that we are getting. We have taken a lot of measures to cut down our cost of funds, including our hedging policies, our ECB borrowings in the yen denominated.

Then we had strategically placed our mechanism that how the loans will be taken up to what kind of tenure it should be. Similarly, the bond when and what kind of strategy we should be adopting by issuance of the bond. So, all these measures has contributed in reduction of cost up to 6.32%, and that makes us more competitive.

Debt equity ratio will remain very promising. We are under 7%. So there is a lot of gearing that we can do towards the financing of the infrastructure as we have our pipeline, which is very strong. And revenue from the operation also grew by 31% on a year -to-year basis. So it has raised to around INR 6,100 crores from INR 4,700 crores in the similar H1 last year.

So there is a loan book growth. There is a decline in the blended cost of funds from 7.12% to 6.32% sorry, a decline in weighted average cost from 7.45% to 7.12%. And similarly, we have been able to resolve our NPA assets also during first year, there is a reversal of INR 120 crores in the ECL and recovery of around INR 339 crores. Profitability has also increased by 7.55%, even though we have not compromised on the quality of the assets and the scenario is very, very competitive in the country.

Our gross NPA has reduced and now it is only INR 1,750 crores, which is only 1.21%. We are very promising towards the net NPA and now we are at net NPA of 0.07%. I will -- just like to say that we are committed that within 15 months of the time, we want to become a zero NPA company and all efforts we are making, whether it is resolution through the NCLT, DRT, DRAT, different legislative procedures or through one -to-one discussions with the borrowing borrowers, understanding their issues, and we are going to the Board, and we have taken a mandate that we should be able to resolve these kind of distressed assets.

We are working very hard towards monetization of our land bank. We want to create space, rental spaces so that it will contribute towards our bott

om line, and we had a very dedicated plan

for that kind of construction and enhancing our carpet areas. Similarly, if you see the NIM, if we exclude this EBR, which we had raised around INR 20,000 crores on behalf of Government of India, our NIMs are standing at 3.43%. And even though if we take care of this INR 20,000 crores, the NIMs are at around 3%.

Similarly, spread on the same lines, it is 2.42% and 2.02%, including the INR 20,000 crores of the government. Similarly, ROE has also improved from the last quarter and now it is 1.93% and return on equity is also around 15%. So, if you see, we are maintaining everything, including the CRAR ratio of around 38%. So, we are placing the company at a level where there will be a visibility, where we will be more competitive, where we will be clearing our book of our old NPAs and creating value through our monetization of the assets.

Very recently, we had launched a different product, which is an urban infrastructure window, wherein we want to convert all the actions which are required for creation of the infrastructure in the ULBs in the cities, in the states under the urban infrastructure and a lot of collaborative Housing & Urban Development Corporation Limited .

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activities that we are doing, and it will be resulting in enhancing the business volumes of the company. So we are discussing with all the ULBs. The program will start from their capacity building, asset monetization, project preparation.

And finally, the government of India has launched announced this Urban Challenge Fund in the recent budget. So, we are targeting the funds, the loans required for the Urban Challenge Fund through this urban invest window. So Urban Challenge fund will become a bigger subset of urban challenge -- urban invest window. So similarly, on the same lines for diversification of our businesses, we had started the private sector business and all five sectors that we were discussing from last 1 year.

So after a lot of discussions with the stakeholders, we are opening up to the private sector in five sectors. One is the port, second is the airport, third is the road, fourth is the energy and fifth is the real estate, which is our main sector. So, there is no target for the power sector as of now

because we will believe that entity should be strong. It will be investable with. And similarly, the projects should be backed by concessionaire agreement -- strong concessionaire agreements and in some cases, in other cases, it should be backed by some regulatory revenue flows.

So thank you so much. Thank you for joining.

Moderator: First question comes from the line of Roshan Mene , an Investor . Please go ahead. Roshan sir your line is unmuted, please proceed with your question. Our next question comes from the line of Mohit Oza from Elara. Please go ahead.

Mohit Oza : Sir, I have two questions. First is what would be the risk evaluation and underwriting criteria for assessing the private loans? And second, if you could tell us about your loan growth guidance?

Sanjay Kulshrestha: Yes. Thank you, Mohit. Regarding the private sector, we will be going with the best practices available in the market. And we will be very, very vigilant regarding the quality of the assets since we are starting this private sector after 12 years of the time frame.

Initially, the bankability of the project has to be seen and the investment grade of the entity has to be seen. So, it will be two graded approach, for the appraisal. And for monitoring, it will be 3 graded approaches. We will be taking support from the PMC also to take care of the project progress and the quality.

So, the entity should be at least IR1, IR2 and IR3. So first pre-integrated rating, we will be catering the loans. So, it will be an integrated rating of entity and the project. So, the process is very stringent and so that there should not

be any doubt regarding any NPA or that kind of this thing.

And initially, till the time our capability is enhanced, we will be taking support of the external consultants parallelly who will appraise the project in line with our guidelines. So, this is number

one. Second is the guidance on the loan. So, as we already -- I had already discussed that it will be plus 25% that we are maintaining. And I don't see anything to obstruct this path of 25%.

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So definitely, it will be between 25% to 30% that we will be maintaining. And now since these two products are also added in our portfolio, that is the private sector and this urban invest window. So, I think they will be working as a catalyst towards the growth of the company.

Moderator: Our next question comes from the line of Rati Pandit from Nirmal Bang Institutional Equities.

Rati Pandit: My first question is regarding the outstanding sanctions that we are having, which could be -- which could get converted into disbursements in the coming time. That is one.

Secondly, our outlook on the margins. I mean, last quarter, if I remember, we had mentioned that our growth was back-ended in the first quarter because of NIMs were not that -- I mean, not that great in the first quarter. But now we are seeing that we are having around 3% NIMs, excluding the EBR portion. So what is our outlook on the margins? I mean if we can expect some improvement over here?

And my third question is regarding the -- I mean, with respect to the remaining NPAs in consortium and outside that, what are the resolution plans?

Sanjay Kulshrestha: So you had asked 3 questions. One is regarding the sanction. So the sanction process starts from the signing of MOUs. So we have outstanding MOUs signed up to the extent of around INR 7 lakh to INR 8 lakh crores. This is number one.

Then the documented schemes are also around INR 2 lakh crores, which will be converted into the disbursement. So non-documented another INR 1 lakh crores is scheme, the projects which are there, which needs a loan agreement and documentation, which are at several stages. So we have a clear pipeline of around INR 3 lakh crores of the sanctioned projects, out of which INR 2 lakh crores has already been documented, agreements have been done. INR 1 lakh crores at various stages, and we are discussing regarding the documentation. So this is number one.

You had requested regarding the profitability. I think we are maintaining our profitability in line with our guidance that is around 2% of the spread and 3% of the NIM irrespective. If you see,

there is a lot of fluctuation in the international market, and we are making some expenditures towards that. And because of that impairment reserve, some loss of profit, you can say. So the profit has come in this quarter to slightly lower.

But finally, because of the loan book enhancement, we have been managed to have their levels of this stress and the NIM. Similarly, regarding the resolutions, yes, this year, we have resolved many projects, but there are many which are in pipeline. And we are very aggressive towards resolutions of our assets. And in quarter 3 also, we are targeting around INR 200 crores of the resolutions, which are in the advanced stage.

Actually, what happened in the resolutions because resolution, we are on the one side and other side is the borrower and third side is a legal proceeding. So sometimes it is very difficult, even though you are very aggressive to have that kind of timelines on quarter-to-quarter basis. But definitely, in this financial year, I think a lot of resolutions will come.

Moderator: Our next question comes from the line Sunil, an Investor .

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Sunil: My question is related to the forex fluctuation. I just want

to understand the currency fluctuation,

especially in terms of dollar. Do we have such kind of borrowing which can affect our margins

in short run and long run?

Sanjay Kulshrestha: Yes, sure. Our Director of Finance will be answering this question.

Daljeet Singh Khatri : We have two kinds of foreign currency borrowings. One is FCNR loans having maturity up to 1 year, and then we have external commercial borrowings having maturity of 5 years. So as far as the external commercial borrowings are concerned, which are around INR 9,900 crores, we have taken adequate protection by way of SGL options, and we are very much within the protection levels.

But we have some foreign currency FCNR loan also, which are having tenure up to 1 year.

There, the volatility is more and there is -- there we have some losses we have booked in the last 2 quarters. But now we have protection for the remaining FCNRs, we have taken the protection levels by way of SGL options.

And we have also taken additional protection by way of European knock-in barrier option structure, which gives us added protection beyond forward levels. And side by side, we are also monitoring the levels of USD INR and US CSF on day-to-day basis, and we are taking the CKB remedial action as and when required.

Sanjay Kulshrestha: I would also like to add. We all know that this is a very disturbing year as far as this currency fluctuation is there. From last 6 months, 7 months, we have seen the how the CSF has gone strengthened and how the dollar is moving. But I'm very happy that we are having some issues in the FCNR, which we are taking all the mitigation help.

But on dollar side, which are long-term loans, 5-year loans, we didn't have any problem and sufficient protection levels have been taken. And we will be sorting out the CSF issue by this March. So, and we will not be creating another FCNR obligation on the company now.

Sunil: And just to add on to understand, is there -- could you just quantify how much impact we were having due to this fluctuation in terms of PAT in terms of percentage, if I would say?

Sanjay Kulshrestha: Yes. In the H1 2025, '26, we have taken -- we have incurred a loss of around INR 176 crores as compared to zero loss in the H1 of 2024, '25. So, most of my FCNR -- I mean, more than 50% of my FCNR stands matured and now around 30% to 40% of FCNR is remaining, which will get matured by February, March, coming February, March that is Q4. And after that, we do not have any FCNRs to mature in the next FY.

Moderator: Our next question comes from the line of Nemin from Geojit PMS.

Nemin : Firstly, just wanted to get an idea as to what debt -to-equity levels would we be comfortable at since we are growing at upwards of 25%, 30%, what would be the debt -to-equity levels that you would be looking at?

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Sanjay Kulshrestha: I think as far as the RBI regulations are concerned, there is no limit for that. But yes, there are covenants when we borrow from the external market, and that covenant is 10%, but it is far off to achieve that 10%. I think now we are at sub-7% of debt equity ratio. And we have done our mathematics for this growth, and we will be around 8%, we will be there. So, debt equity ratio will be maintained at around 8%.

And in the meantime, we are also planning to have some perpetual debt, and we will be going to the market maybe in the third or fourth quarter, depending on the market conditions. Because it is not an emergent need. But yes, you are right in our plan of action. This is also one of the matter that we need to resolve at the appropriate time.

Nemin : Okay. Got it. Secondly, sir, on your yields, what would be our incremental yields, disbursement yield?

Sanjay Kulshrestha: If you see the yield in the markets are coming down. The repo is coming down, and we are expecting further

rate cuts. And now it is around 2%, and I think that will be maintained. So that will not -- so regarding the yield, it's around 9%, 9.21%. Even though the market has come down, our cost of funds has come down, we have been able to sustain that kind of yield of around plus 9% -- 9.2% rather.

Nemin : Okay. Okay. So, what portion of our book would be fixed? I mean, is there any portion of our lending book that would be fixed in nature?

Sanjay Kulshrestha: There is no fixed actually. If you see everything is floating after a year. So, all our loans are 1-year reset, and there are some loans may not be 2%, 3%, 4% more than that. They are fixed for 3 years and then the reset is done. So, it's a win-win approach as an NBFC. So, there is a reset on the day the repo cut comes for a domestic borrowing, but the transfer or transmission of that rate cut on lending portfolio comes after -- at the time of 1 year reset.

Nemin : Okay, sir. Got it. Got it. Sir, when we look at our -- now when we are venturing into the private side of the market, so would our yields be at similar levels? Or would it be at a higher level? And what sort of competition do you foresee in this market?

Sanjay Kulshrestha: Actually, there is no straight-line answer for this. But yes, at least these levels will be maintained.

Finally, it depends on what kind of rating that the project is getting. If it is IR1, it will be very competitive because of the asset quality and the type of entity. If it is IR3, yes, of course, it will be higher. And similarly, on segment to segment, if it is a HAM project backed by strong concessionaire agreement, the rates will be different. But if it is loosely bound kind of concessionaire agreement, but it is in IR 3, then the rate of interest will be different.

Nemin : Got it, sir. Got it. Sir, next on your NIM, when you say that 3% to 3.3% NIM could be maintained. So, is there any fixed percentage of fee that certain projects have been charged? Is there any particular benchmark that is supposed to be charged over and above your yield?

Sanjay Kulshrestha: Yes. For private sector, we had adopted the practice that is processing fees and legal fees. All these fee structure will be there. But we don't want to overburden our product. Rather, we don't

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want to compromise on the quality of the assets. So, these fees or these kind of things will be as minimum as possible. We will remain competitive. So, we are not these kind of things as our...

Nemin : Perfect. And lastly, sir, just to get an idea, what would be our sanctions to disbursement lag, I mean, time lag between sanctions to disbursement?

Sanjay Kulshrestha: Starting from 3 months to 1 year.

Nemin : Starting from 3 months to 1 year. Okay. Okay, sir. Got it. And lastly, sir, on your PMAY , I think would you like to comment anything that we will be seeing any disbursement coming in the second half of this year? Or will it be in FY '27? Any thoughts or comments?

Sanjay Kulshrestha: I cannot comment on the time of disbursement, but as of now, we have not sanctioned. No state has come forward to take the loan against the counterpart requirement of that state.

Moderator: Our next question comes from the line of Gaurav Kochar from ML P.

Gaurav Kochar : Sir, a few questions. Firstly, on the forex loss in this quarter, you mentioned that now the hedging process has changed. So maybe if you can highlight till what level of -- maybe for both the currency, both USD -CHF and USD-INR till what level are we protected from here? --

hypoetically, if the currency were to depreciate another 3%, 4% from here, are you still protected in terms of -- will you still see loss in the P&L? Or do you see any loss in the P&L?

Sanjay Kulshrestha: Yes. Our Director of Finance will be answering that.

Daljeet Singh Khatri: Yes. Good afternoon

n again, Daljeet Singh Khatri this side. We have around USD 400 million of FCNR coming for maturity in Q3. And out of that 175 million is in November itself, remaining will be in December. And protection levels as of now, all the 3 are in the -- I mean, within the limits as far as dollar is concerned, USD -INR is concerned, they are above 89. And USD -CHF are also around 79.

But yes, protection levels, all these deals are presently within the protection levels. But going forward, seeing the volatility, we are taking alternative measures. We are trying to partially unwind some of them and taking the full hedge again by bearing cost. Because if I leave it with unattended, it may lead to a loss, a higher loss.

But if I unwind and take unlimited protection, again, it will lead to a saving of around 50% of what the potential loss could be. So we are on a day -to-day basis, monitoring the situation and taking the extra protection as and when it is felt appropriate.

Gaurav Kochar: Sure. So, sir, if the currency remains at the current levels, there will not be any loss in the coming quarter. Is that a fair sort of assessment?

Daljeet Singh Khatri: As of now, it doesn't further deteriorate. That is why we are doing it and monitoring on a daily basis. And wherever required, we are trying to take some additional protection at some additional costs, so that the loss minimization can take place.

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Gaurav Kochar: Right. Understood. Perfect. Sir, my next question is with respect to the sanction to disbursement that you mentioned. And given that this quarter, we saw a very strong sanction. So, our H 1 sanction is already INR 90,000 crores plus.

So maybe if you can highlight and with overall pipeline you mentioned is very strong, what kind of disbursement are we looking at for this year, given that INR 50,000 crores was the guidance, we are more than half already in H 1. And with a very strong sanction in 2Q, the second half, do you expect to better the INR 50,000 crore number that you've guided?

Sanjay Kulshrestha: So as a principle, we had taken a position that as far as possible, we will try to spread our disbursement on a quarter -to-quarter basis. And I'm very happy that we are trying to maintain that. If you see the last year pattern also, it was evenly distributed quarter -wise, and we had achieved INR40,000 crores. This year also, more or less, it is evenly distributed disbursement

quarterly on a quarterly basis.

In first quarter, it was INR 11,000 crores, INR12,000 crores. Then we have slightly increased in the quarter 2 to something slightly better than that. Now we stand at INR 25,000 crores. For this year, we have a target of INR 50,000 crores of the disbursement out of which in the first half yearly, we had achieved 50%. So the target is 50%, which is a growth of around 25% on a year - to-year basis. But I'm very sure that this INR 50,000 will be achieved, with this committed pipeline.

Gaurav Kochar: Understood. Understood. And sir, with respect to the AUM growth, if the sanction or the disbursement will be INR50,000 crores, the AUM growth can be 30%, which is the number we've reported this quarter as well. And going forward, if the sanction pipeline is strong, what kind of growth are you expecting for FY '27?

Sanjay Kulshrestha: So 2 years back, we had targeted that by March '26, our loan book will become INR 1.5 lakh crores. And we had already achieved INR 1.44 lakh crore or INR 1.45 lakh crore. So it is a statement that we will be achieving this INR 1.5 lakh crore by March, and that's why we had revised upper side, and we have now revised to INR 1.6 lakh crores.

So -- and for FY 2030, we have a target that it will become INR 3 lakh crores of the loan book. So it may be around twice within the 4 years. So you can see that we have to grow at around 25%, 26%, then only we can

be able to achieve that kind of target.

Gaurav Kochar: Okay. So maybe in FY '27, 25% growth looks possible, 25% plus growth looks possible even for FY '27...

Sanjay Kulshrestha: Yes, I think with this kind of sanction guidances, it's achievable 25%, 27% of the growth is a...

Gaurav Kochar: Understood. Sir, my next question is on margins. So in the last quarter, you mentioned that margins will expand and probably go towards 3.1%, 3.2% mark. So this quarter, we already -- we have seen improvement. If I look at just this quarter, there was an 8 basis point kind of an improvement, but still lower than what you had guided.

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So maybe in the second half, with cost of fund coming down, you have indicated that the incremental cost of fund is at 6.32%. So with all these measures, where do you think the second half margin trajectory could be? Can we get closer to the 3.1%, 3.2% sort of range that we were there earlier in the second half of last year?

Sanjay Kulshrestha: Yes, definitely, we will be achieving. Actually, if you see the NIM is slightly down because the resolution has not come in that particular quarter. If you compare the last on year -to-year, Q2 of the last financial year, we had got income of more than INR 200 crores after resolution of some of prices. This year, it is only INR16 crores, INR16 crores is recovery.

So you see around INR 200 crores we have lost on account of recovery or you can say it has not been added into our income and enhanced our NIMs. But I'm sure that in quarter 3, we will be able to get that kind of momentum, and we will be easily achieving the NIMs of more than 3.1%.

And at the same time, we are also expecting that repo will come down by at least 25 basis points in December monetary policy, which will further extend -- further reduce our expenditure on the interest expenditure.

Gaurav Kochar: Okay. So, 10 basis point improvement in Q 3 is what you're expecting in terms of margin?

Sanjay Kulshrestha: Yes, yes, definitely, at least 10 basis points.

Gaurav Kochar: Sure, sure, sure. And sir, just the last point that you mentioned regarding the resolution and the interest recovery on that. You also alluded to there are certain accounts which are under advanced stage of resolution. So maybe if you can -- what is the quantum of asset and what would be the recovery rate? And since we are already almost 95% provided on majority of the loans, will that entire recovery come on the P&L in the form of maybe interest income or provision reversal?

Sanjay Kulshrestha: See, around 10 projects we have identified for resolution in quarter 3 and quarter 4 total of around INR730 crores of the principal. And we are expecting a recovery of around INR 900 odd crores. So that is our plan on which we are working. So if we at all the success of 50%, then also it will be around INR 400 crores or INR500 crores kind of amount.

Gaurav Kochar: Got it. So, 10 projects worth INR730 crores are in advanced stages of resolution and you expect this in Q 3 and Q 4. The timing could be different. But by end of this year, you expect this to get resolved. Sure. And sir, you've guided...

Sanjay Kulshrestha: Yes, recovery of INR 900 crores, we are targeting around 50% of the revenue should come in H2 of this financial year and then in the next financial year.

Gaurav Kochar: Right. Understood. So INR450 crores would come in this financial year itself?

Sanjay Kulshrestha: Yes, we are making all of...

Gaurav Kochar: Sure, sure, sir. And sir, you mentioned that in 15 months' time, you would become a zero NPA sort of -- so that was for gross NPA, right? Gross Stage 3 will become zero...

Sanjay Kulshrestha: For the net NPA that I'm talking for the net NPA for which we had already achieved 0.07%.

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Gaurav Kochar: Okay. Okay. Okay. That was for net NPA. Sure, sure, sir. And sir, any incremental risk of any slippage, any account which is showing stress? If you can give some data around your Stage 2, if there are any accounts which could come in Stage 3 in the next couple of quarters? Any risk that you see?

Sanjay Kulshrestha: Actually, if you see our asset quality is very strong, around 90% is backed by the state government guarantees. There may be a delay of a few days only, but I don't see any risk towards the recovery. And from last 3 years, there is no NPA or no that kind of signs given by the states. And the states are very prudent in planning in their capital expenditure now.

Gaurav Kochar: Right. So no risk that you're seeing of any accounts slipping into NPA?

Sanjay Kulshrestha: No.

Gaurav Kochar: Great. Great, sir. And sir, just one last question from my side. Regarding this urban invest window that you indicated, maybe if you can throw some light on the size of the opportunity and as the organization, what kind of maybe in FY '27 or over a medium term, what kind of opportunity do you see yourself participating into this loan? And whether this new opportunity would be with similar spreads as we currently hold? Or will it be at a higher spread?

Sanjay Kulshrestha: I think we are repurposing the business of the HUDCO in line with the objective of the Government of India of Viksit Bharat 2047 and just 22 years are left for that target. And for any country to become a developed, cities are the face of that country. We are identifying 50 -odd cities, which will come to the global standards, and we are discussing with our ministry and the government.

So huge funds are required, and we have seen the studies around INR 80 lakh crores of the funds are required in 2036, if you see around INR 5 lakh to INR 8 lakh crores of the funds are required on a year -to-year basis. Presently, we are spending around INR 2.5 lakh crores on a yearly basis. A part of this is coming from the government of India and state government and HUDCO and other financial institutions.

So, it's -- so accelerated growth is required. And with this perspective, this UI window is a very proactive initiative of the HUDCO and the government of India. Wherein it will be the business, it will be the loan growth. But at the same time, the capacity building, the absorption capacity of the urban local bodies, the cities, the states.

So, we will be working from 3 fronts. One will be the capacity building, and we have our institution. So, there will be a big program, which will be supporting the states. Then it will be the asset registers, maintaining of the asset registers and converting these assets into the bankable projects. And third will be the financial closure.

So HUDCO will be doing the financial closure and taking the help of the multilateral institution for that to spread the best practices. So it's a very inclusive kind of step that HUDCO has taken. And definitely, the loan book will be strong. The asset quality will be strong, and there will be an accelerated growth in the loan book in line with the national objectives.

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Gaurav Kochar: Sure, sir. But specific to this, any numbers internally maybe you have targeted or budgeted for next year under this program. Any sort of numbers that you can share, that will be helpful.

Sanjay Kulshrestha: Definitely, definitely. You may be knowing that the Urban Challenge Fund has been launched by Government of India in the budget speech of the Finance Minister. So INR 1 lakh crores will come from the central government as a subsidy. INR 1 lakh crores has to be arranged by the state government. So we are targeting INR 1 lakh crores of the state government requirement. So that will be one part of INR 1 lakh crores that is a business potential for

or HUDCO and INR 2

lakh crores has to be arranged by the PPP players. And now since we are starting this private sector also, so that can also be a potential opportunity for HUDCO to grow.

Gaurav Kochar: Okay. Understood. And sir, under how many years -- or total how many years will this entire INR 1 lakh Crore plus INR 2 lakh Crore will be sanctioned or disbursed over what time period?

Sanjay Kulshrestha: Sanction will be done, I think, within a 1 year or so, 18 months of the time and the disbursement will take another 2 to 3 years of the time.

Gaurav Kochar: Understood. That's very helpful, sir. And just on the spread, will this incrementally be at a similar spread, higher spread, lower spread versus what you are currently holding?

Sanjay Kulshrestha: Actually, if you see the HUDCO belief or our mission, we doesn't mean we didn't load our

projects with a lot of spread. So we will be maintaining our current rate of plus 2% of the spread and plus 3% of the NIMs because we want finally the projects should sustain the repayments, it should be viable, sustainable and bankable.

Moderator: Next follow-up question comes from the line of Mohit Oza from Elara. Please go ahead.

Mohit Oza : Sir, just again, if you could give additional details on this urban invest window and some color on the overall sanctions pipeline?

Sanjay Kulshrestha: So overall sanction pipeline is already very strong, and I think the same pace will be maintained in a couple of years. A lot of opportunities are there. Urban Invest window, actually, if you see, it's a comprehensive approach towards creation of the asset in the entire country, and we are talking about the bankable projects.

So if we are talking about any bankable project in urban infrastructure sector, I think HUDCO is the only sector agnostic company, which we'll be looking upon. And we are in the Ministry of Housing and Urban Affairs, which is looking after all the urban affair projects. So we are getting that kind of natural benefit. And as I had already spoken that this window will work in 3 phases. One is the capacity building. Another is the asset mapping and making the assets bankable. And third is the financial closing. So a lot of push will come in a very financially prudent manner in a very -- projects will be implemented in a very accelerated manner.

And it will be a convergence of a lot of things. If you see, there will be consultants, there will be transaction advisers, there will be capacity building kind of institutions. There will be Housing & Urban Development Corporation Limited .

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multilateral banks, issuance of the bonds. So we will be taking care of a lot of things and creating value in our works.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjay Kulshrestha: So thank you, friends, for joining. It's a wonderful discussions and a lot of takeaways we had taken from your questions. And I can assure you that our growth story is not temporary.

Whatever we are saying and we are believing that is being translated as you may have witnessed.

And the same way, we will be catering to our responsibility as a listed company.

And rest assured that our names, our spreads will go on like on the same manner and business growth will always be there. there are a lot of opportunities in the country. If you see the Housing for -- all program is there, Amrit is there. We are also trying to start how we will be funding these metro projects, and we are working with a lot of multinational institutions.

So I will not talk in length about that. But what I can tell you that the potential is enormous. And as a company, as a sector -agnostic company, the 75% stakeholder by Government of India, a strategic company in the action plan of the government. So we have a lot of roles and responsibility across crea

tion of the urban infrastructure for Viksit Bharat . So that is my assurance, my team's assurance that the next quarter, we will be again meeting and we will be talking about the same growth story. Thank you so much.

Moderator: On behalf of Elara Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

HUDCO/ List. Comp. /SE/2026 6th February, 2026

Sub.: Transcript of Earnings Conference Call held on 4th February, 2026

Sir/Madam,

In compliance of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of Earnings Conference Call held on 4th February, 2026.

The same shall also be available on the website of the Company i.e. www.hudco.org.in

This is for your kind information.

Yours sincerely
For Housing and Urban Development Corporation Limited

Vikas Goyal
Company Secretary & Compliance Officer

Encl. as above
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
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SCRIP CODE: 540530 SCRIP CODE: HUDCO
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"Housing and Urban Development Corporation Limited
Q3 FY '26 Earnings Conference Call"
February 04, 2026

MANAGEMENT : MR. SANJAY KULSHRESTHA – CHAIRMAN &
MANAGING DIRECTOR – HOUSING AND URBAN
DEVELOPMENT CORPORATION LIMITED
M R. M. NAGARAJ – DIRECTOR CORPORATE PLANNING
– HOUSING AND URBAN DEVELOPMENT CORPORATION
LIMITED
M R. DALJEET SINGH KHATRI – DIRECTOR, FINANCE –
HOUSING AND URBAN DEVELOPMENT CORPORATION
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M R. ACHAL GUPTA – GENERAL MANAGER, FINANCE –
HOUSING AND URBAN DEVELOPMENT CORPORATION
LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS
Housing and Urban Development Corporation Limited.
February 04, 2026

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Moderator: Good evening, ladies and gentlemen, and welcome to the Housing and Urban Development Corporation Limited Q3 FY '26 Earnings Conference Call hosted by DAM Capital Advisors. As

a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors. Thank you, and over to you, sir.

Sanket Chheda: Good afternoon to all of you. We have with us today the management team of HUDCO to discuss their Q3 results. So, from the management side, we have Mr. Sanjay Kulshrestha, who is the Chairman & Managing Director; Mr. M. Nagaraj, who is the Director, Corporate Planning; Mr. Daljeet Singh Khatri, who is Director Finance; and Mr. Achal Gupta, who is the General Manager of Finance.

Without further ado, I'll hand the call over to our MD sir for his opening remarks. We'll follow that up with question and answers. Over to you, sir.

Sanjay Kulshrestha: Yes, Sanket, thank you. So, let me give the background of today's earnings call. As we proceed, whatever guidance we had already given to the market from last 2 years from time to time, we are adhering to those guidances. We are continuing to grow around 25% in our loan book.

At the same time, we are reducing our cost of funds and diversifying. By the time RBI has given us a mandate to become infrastructure finance company, we are extending and diversifying our asset base into the various segments. We are adding up a lot of new borrowers in our kitty. We are working very extensively and aggressively towards the resolution of the NPA assets, and we have successfully resolved most of them. Quite a few are also there balance, and now our net NPA is just close to zero. It is around 0.06%.

Continually, we are working and making out efforts to supplement the efforts of the Government of India towards the Viksit Bharat and identifying our role and responsibility and supplementing the efforts through debt financing as well as the creation of the value across the value chain and working very closely with the urban local bodies.

Recently, you may be aware, we have launched a very big platform, you can say, in terms of urban invest window, which will become a one-stop solution for -- from creation of the projects to make it bankable, financial closures, inviting the investors, HUDCO loan and convergence from the Government of India scheme.

Government has also announced one big program to upgrade and enhance the capacity of the project implementation for ULB that is Urban Challenge Fund. So very shortly, we are hopeful that the policy will take its shape, which is under discussion from last 9 months. So many stakeholder discussions had already happened. Now the ULBs are on board and very soon, the guidelines will come.

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At the same time, if you have seen the budget because if you see the last week, there are three, four important events that has done in the Indian economy, starting from the economic survey to the general budget and the Finance -- 16th Finance Commission. So, if you see the latent of all these conversations and the documents, everything is focused towards the sustainable urban, the bankable urban and the viable urban because we all believe that we have to create cities of the global standard.

We have to see that how the rural economy will work. And that's why if you have seen the Finance Commission has put in a lot of emphasis on the rural development, a lot of emphasis on the urban reforms, starting from t

he conservation of the resources like water, logistics, books, financials.

So, lot of emphasis has been given. And at the same time, lot of financial incentives have also been given. So, this is an era of urban development because we have to create that kind of urban bodies, which will look at the project as a bankable option.

And HUDCO as a premium institution, which is sector agnostic. So, we are very hopeful that it will further reinforce our business. It will ensure our business. And at the same time, we will see the bankable projects are coming up at the national landscape.

Thank you so much. Now we are ready for the question-and-answer. So anything, we are ready as a management to answer the questions.

Moderator: We have our first question from the line Arul from KSEMA Wealth Private Limited.

Arul: Sir, regarding this net loss on fair value changes, which is INR470 crores in the 9 months FY '26. So, I believe this is from the FCNR borrowing, right? So, what is the plan going forward? Because we have already reduced this FCNR outstanding significantly from INR15,000 crores to INR5,000 crores. So, are we going to completely come out of this? So, what will be the impact on the cost in that case? That's my first question.

Sanjay Kulshrestha: Yes, you are right. You're right. It is the impact of the FCNR borrowing on which we had taken

a lot of incentive in -- around first 6 months or 7 months. And then because of the currency fluctuation, things has gone out of the hedging limits. And this is, I think, the -- this may be the last quarter. Current quarter will be the last quarter. And now we have decided to not take the 1-year FCNR.

Arul: Okay. So completely -- it will be zero in the -- going forward, right, future?

Sanjay Kulshrestha: Yes, yes, it will be -- this will be the last quarter. And from next quarter, there will not be any impact. Yes.

Arul: Clear, sir. And one more thing regarding this ECBs. I think it is 100% hedged, right, sir, external borrowings? So, there will not be any P&L impact on that.

Sanjay Kulshrestha: Yes. Correct.

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Arul: But the average cost, you have mentioned is around 6%. So, this 6% is including the hedging cost or hedging cost is not included in the 6%, sir?

Sanjay Kulshrestha: Yes, these are long-term loans on which we had taken a hedging and we have taken the protection level as high as whatever best is available for next 5 years -- 15 years. And on the historic values only, we had taken the protection level and these are hedged kind of resources.

Arul: Okay. So it included the hedging cost, sir, whatever the 6% you have given?

Sanjay Kulshrestha: Yes. Yes. It's included. These are Japanese currency loans. So that's why these are...

Moderator: We have the next question from the line of Sumeet Rohra from Smartsun Capital Pte Limited.

Sumeet Rohra: Now sir, I have a few questions. I'll just take -- I'll just take it step by step. So, sir, firstly, if I recall correctly, in this budget, the government has actually authorized more money to the states, which is to the tune of INR2 trillion, okay? Now this is actually a 33% increase in the allocation to states. Now sir, since we basically lend to states and we focus on infrastructure, is my understanding correct that this will be very, very positive for us? That's my first question, sir. My second question, sir, is basically that if I see your 9 months, the earlier participant did touch upon the FCNR issue. So, sir, if I just put the entire foreign exchange loss, what we have is for the 9 months, my understanding is that is it INR350 crores? So that means our PAT is actually at about INR2,400 crores versus INR1,900 crores in the 9 months preceding last year. So, effectively, it means that your growth in profit is actually equal to your growth in loan book. So, is our understanding correct on that front, sir?

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y third question, sir, is basically that if we have a spread of about 2% or ROEs are about 2% and we are targeting a INR3 lakh crores loan book, which is basically what you guided for in the past, which I think will happen much earlier than what you've said. So, my sense is by FY '29, you could get there. So that means, sir, is my understanding correct that our profits will be higher than the INR6,000 crores mark in the next couple of years, which today should be about INR3,000 crores. So, is that also understanding correct?

And my last question to you, sir, is basically, can you please highlight what is the total amount of MOUs which we have signed today? And what is the conversion of the MOUs into basically sanctioning and then the duration from sanctioning to disbursement, sir?

Sanjay Kulshrestha: Yes. Thank you, Sumeet. I think -- very pertinent questions, I think. First, you had asked regarding the FCNR. The total loss on FCNR for 9 months is INR470 crores. So if you add this value of INR470 crores in our profits, it will be around INR2,500 crores against INR2,000-odd crores. So, there is a loss which is onetime, and this quarter will be the last for that. So, yes, you are right. Actually, it is not INR360 crores, it is INR470 crores.

And second is, we are trying to achieve this INR3 lakh crores loan book, which we are trying by 2030 and a lot of efforts we are taking. And there are a lot of support from the government of India schemes, policies or legislations and capital infusion. So, a lot of clarity had came in the urban sector that definitely, there will be a push for creation of urban infrastructure. So, with 2% Housing and Urban Development Corporation Limited.

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of the spread, it's an arithmetic on INR3 lakhs, which will be double from INR1.5 lakh to INR3 lakhs. So, you are right, we will be something around that with 2% of the spread.

Total MOUs that we have signed around INR7 lakh crores to INR8 lakh crores, but of late, now we had made a slight change in our policy that first, we need to identify the project. And after identification only, we will be going for the MOU signing because we need -- we want to see that what is the preparedness of the states. Already INR7 lakh crores to INR8 lakh crores MOUs are signed and out of which we have a committed loan sanction pipeline of around INR2.5 lakh crores.

So, it is not like that everything is coming out of MOU. There are many other projects which are not a part of the MOU. But since we are working through our regional offices and understanding the need of the utilities and the states. So other than the MOU also, there are a lot of projects that we have sanctioned during the current year. And if you have seen, in the present year only, we have sanctioned around INR1.4 lakh crores. So, with a commitment sanction of around INR2.5 lakh crores, I'm very sure that we will be achieving the figures of INR3 lakh crores. Sumeet Rohra: So, sir, I mean -- if I may ask you that this INR2.5 lakh crores, which is now sanctioned, so you should disburse this by when, sir? So normally, what's the timeline between sanctioning and disbursement?

Sanjay Kulshrestha: Generally, if I sanction project, so it takes 6 months to 1 year of the time to start the disbursement. Generally, 20% disbursement comes in the first year. And these projects have long gestation infrastructure projects, so it takes 3 to 4 years of the time. So, for INR2.5 lakh crores, you can say starting from the INR30,000 crores, INR40,000 crores in the last sanctioned projects, it will continue to rise from 30% and 40% and the balance one, then the last year will be around 20% to 25% total.

Sumeet Rohra: Understand. Understand. Okay. Great, sir. And sir, just on the first point, which I asked you about the state in this budget because today only, I was just on a call with one of the global analysts, and they highlighted this statistic very

clearly that the money allocated to states is about 33% higher than the preceding year. So, I mean, will that actually help stimulate our growth as well?

Sanjay Kulshrestha: Yes. You are very right. These are the SASCI loans extended by the Government of India, and this initiative has been taken just 3 years back, and now it stands at INR2 lakh crores. Actually, these loans are long-term loans, 50 years loan. Earlier also, it was around INR1.5 lakh crores in the last financial year, which has raised to INR2 lakh crores because if you see government wants to push the reform.

These are all reform-based kind of incentives that the government of India is extending to the state government. And SASCI loan is one of that, which has a lot of strings attached, but I'm very happy that the states are complying to those strings and they are developing that kind of sustainable infrastructure. And I will just like to extend, in this finance commission also, there is a grant of INR56,000 crores for, say, water recycling, which will be extended to the ULBs for coming up with the water kind of projects.

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But there is another grant for the performance or issuance of the bonds also that INR100 crores of -- on INR1,000 crores of the bond issuance will be given. So, all these things, which are supporting the cause of creation of the urban infrastructure, I think HUDCO will be the best beneficial institution out of all these initiatives because without borrowing, completion of the big infrastructure project is not possible. So, this will become a catalytic kind of agent. This will become a VGF kind of support. This will come as a viable -- to create a viable kind of project for the state.

Sumeet Rohra: Got it. And sir -- and just one last thing. I mean, firstly, many congratulations to you and your team because you had guided for INR1,50,000 crores by FY '26, but you've crossed INR1,55,000 crores already. So, what's your guidance now, sir? I mean, now -- I mean, how are you looking at guidance for -- I mean, end of this quarter plus for next year? So, if you can just share your guidance then that will be wonderful, sir.

Sanjay Kulshrestha: See, we had made an internal policy that we will divide the disbursement across the year, and the same principle we are following. For this financial year, our target is around INR50,000 crores of disbursement. And -- with this, you can calculate the kind of loan book and we are giving a result of around 25%. So, I think it's a simple arithmetic that you can do.

Moderator: We have the next question from the line of Rati Pandit from Nirmal Bang.

Rati Pandit: My first question is that you have given a guidance of INR50,000 crores disbursement this year. But for this year and next year, what will be a repayment trend like? And my second question is on the net interest margins. We have seen them falling to around 2.88% in 9 months of FY '26. So, is it because the growth has been back ended or there is some other reason? And what is our outlook ahead? And what are the factors which will drive the NIMs ahead? Yes. So, these 2 questions I'm having.

Sanjay Kulshrestha: So, repayment is around INR5,000 crores that we are getting. So, around INR4,000 crores to INR5,000 crores every quarter. So, you can say around INR17,000 crores to INR18,000 crores per annum. This is our repayment. And regarding the NIMs, as you have asked, you are right that there are some disbursements which were backloaded. So, on a year-to-year basis, you will see that it will be around 3%, 3.1% kind of NIM that we will maintain, and there is no internal issue on that.

Rati Pandit: Okay. And with respect to bank borrowings, what part of them are EBLR linked and MCLR linked?

Sanjay Kulshrestha: All are from the banks. They are EBLR linked.

Daljeet Singh Khatri: Rati, I'm Daljeet Singh Khatri, Director of Finance. As C

MD sir has said, most of my bank

borrowings are linked with external benchmark. Only the bonds, they are of fixed nature, but entire banking is of variable nature linked to repo rate or the T-bill.

Rati Pandit: Okay. And on the asset side, what part of the assets are fixed and how many are on 1-year reset and the 3-year reset?

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Daljeet Singh Khatri: I think, around 60% of my book is 1-year linked and 30% to 40% -- 30% is 3-year linked, and rest is fixed -- around 5% to 7% is fixed rate.

Rati Pandit: Okay. Okay. And my last question is on the NPA resolution. So, for the remaining lot of projects which we are having, which are under consortium and outside consortium, how does the resolution trajectory look like ahead?

Daljeet Singh Khatri: As CMD sir has said in the beginning that our total focus is on resolution of NPA assets, and we have resolved around INR500 crores in the previous financial year. And in this current financial year also, NPA is aggregating to around INR385 crores, we have already resolved. And now we are left with only INR1,600 crores of NPAs, gross NPAs out of which around INR800 crores is under liquidation through NCLT. So we'll be left with around another INR700 crores to INR800 crores, and we are hopeful that we'll be able to resolve most of them by the end of next financial year.

Moderator: We have the next question from the line of Devyam Joshi from 9To3 Capital.

Devyam Joshi: Congrats. I wanted to ask you that as we are pivoting towards financing infrastructure beyond housing, so you are entering a space crowded by aggressive commercial banks and other NBFCs, right? So, what yield differentials on this new infrastructure -- what is the yield differential in this new infrastructure loans?

Sanjay Kulshrestha: So, I think we have our own space of working, and that's why our loan book is continually increasing even though the competition is there. But I think the competition is good for the country. And I think every institution, if you are talking about the competition from the banks, we are working in some of the projects along with the banks also.

There are some forte where only HUDCO can fund, and -- because of our reach and penetration across the states and the understanding of their policies, supporting the Government of India's projects in terms of, say, counterpart requirement under Amrit or Swachh Bharat.

Generally, these kind of products didn't work well with the bankers. So, we have our niche kind of projects identified for HUDCO. Banks have their own. But apart from that, we are working with the banks and now we had came out with the financing of the private sector also, the PPP models, and we had identified 5 sectors where we generally will work with the bankers and other financial institutions, like real estate, road, port, airport and the energy transition.

Other than that, for metro projects, we are converging with other financial institutions working in the same space of metro. So, it is not like that there is only the completion. It is the collaboration also. It is the specific area also where the HUDCO works.

Devyam Joshi: Okay. Okay. And one last question. What is the total value of loans under moratorium or restructured status that have not been classified as Stage 3 NPAs yet?

Sanjay Kulshrestha: No, these is no asset.

Daljeet Singh Khatri: I mean in the last 8 to 12 quarters, we have no addition of Stage 3 assets in our book.

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Devyam Joshi: Okay. And in future, are we planning to add any?

Daljeet Singh Khatri: No, no, never. We didn't have a plan to add some Stage 3 assets.

Sanjay Kulshrestha: I don't think because of the strict monitoring being adopted by the company and from -- starting from the cash flows to security to the progress of the project, cost, quality.

So extensive

monitoring is being done. And if you see, the SMA-2 is also continuously reducing. And as we speak, all the SMA-2 has been resolved.

Moderator: We have the next follow-up question from the line of Sumeet Rohra from Smartsun Capital Pte Limited.

Sumeet Rohra: Just only one thing. So, effectively that this -- the fourth quarter will be the last quarter where

we'll have some amount of forex impact or whatever. So, is my understanding correct that from next -- from April onwards, we will have no foreign currency impact at all?

Sanjay Kulshrestha: Yes, that's true. This will be the last quarter.

Sumeet Rohra: Okay. Fine, I just wanted to get that clarity.

Moderator: We have the next question from the line of Parth from DAM Capital Advisors.

Parth: Sir, just wanted to understand how is the ground level sense in terms of infrastructure pickup?

And how are the state spends in terms of building the roads, metros, airports where HUDCO is seeing an enormous opportunity to grow?

Sanjay Kulshrestha: Right. Our Director Mr. Nagaraj will be answering this.

Muniappa Nagaraj: Yes. Very rightly, you asked that. Let me give you a small example of HUDCO's portfolio. To begin with the metro. So we're already planning to have a 2 metro -- already we have given a sanction under like Indore, Bhopal. And in addition to that, we are working with many number of metros in consultation with other like-minded parties.

Then let me come to airport. In the state of Andhra Pradesh in Tier 2, Tier 3 cities, they are coming out with a big way in airports. We have funded four airports and also international level airport at Kangra, we are funding it. So, this is in the airport sector.

When it comes to construction of water supply and sewage, like Godavari water supply scheme in Andhra Pradesh and also Jal Jeevan mission in 2 states, we have funded in a water supply.

And one more very unique area, desalination of water in the state of Tamil Nadu nearby the coastal cities, we are doing it. Plus in the city of Chennai, transit-oriented development across 4 metro stations, which is a very unique project we have funded.

Plus also like a tourism, we are into different sectors in different places. I didn't touch upon land acquisition for transport sector, number of projects we are funding it in the transport sector.

Some of the highways I would like to give an example from Nagpur to the Goa, this is called Shaktipeeth Expressway, and many such projects we are in the funding, already funded plus also Housing and Urban Development Corporation Limited.

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in the pipeline. This is a small list of projects, which I've just narrated. There are huge scope of funding infra.

Sanjay Kulshrestha: Yes. Just to give a general perspective -- am I audible?

Parth: Yes, sir.

Sanjay Kulshrestha: So, just to give you a general perspective as Nagaraj sir has given you the specific projects. If you see the ecosystem in the country is like every state wants to develop. They don't want to miss the opportunity. All states have a very diversified resources available with them.

If AP has some geographical resource available with them from the coastal line to, say, solar radiations to trunk infrastructure of the national highways, then if you see the UP has land monetization, lot of new towns being developed.

So, every state is working to monetize their assets coming up with big infrastructure project.

And if you see, all the states are coming with the theme of some investment plan, state investment plan or Swarnim Andhra Pradesh or Viksit Rajasthan. So, every state is coming with a road map of development. And that's why we are talking about Viksit Bharat.

And a lot of FDI is coming continually. Government of India is working on that. A lot of interest is coming. And now the aspirations of the public that they need as a right that there should be good road, there is good sewerage, there is good

water, tap water, there is good energy that is

clean -- green energy. So, all these kinds of aspirations are putting pressure on the system that they need this kind of infrastructure.

And our models starting from the BOT EPC, HAM, all these things are so matured that now we are trying HAM model even in the housing sector. So, I think it is an era of development and another 20, 22 years by 2047, lot of infusion will come, a lot of new infrastructure will come.

And the way we are growing, the economy will grow on that part.

Parth: Got it, Sir, one more thing I just wanted to understand. Just -- sorry to double touch on this. You mentioned that transition losses would likely get over by Q4, more so because of your 1-year FCNR borrowings being, I mean, completely running down.

So, sir, all the ECB borrowings, which we still have, which you said you are hedged like for 15 years or so. So those are complete hedging? And how confident is it that from next year, we wouldn't have any specific translation losses or meaningful translation losses from here? Just some details here would be really helpful.

Sanjay Kulshrestha: Sure. Our Director of Finance will answer this.

Daljeet Singh Khatri: Yes., these ECBs aggregating to around INR10,000 crores, they are having a maturity of roughly 5 -- original maturity of 5, 5.5 years and they will be due for redemption after 3, 3.5 years. As coming to your question on hedging, we have hedged the entire ECB borrowings through the option structures with extended protection under the EKI options like European Knock-In or

knock-in/knock-out options are there, which provide additional safeguard over and above the forwards, which are shown in the Bloomberg based on the date of maturities.

So -- and in the near term, we see this kind of volatility, which we have seen in the last 1 year or so. But considering the period of 5 years or 10 years, there has been only an average depreciation of 3%, 3.5%. So, we are confident that these protection levels are sufficient to protect us from any kind of volatility over a period of 3 to 4 years.

Moderator: We have the next question from the line of Nemin Doshi from Fortress Group.

Nemin Doshi: Firstly, sir, if I look at our debt-to-equity, currently, it's at a range of 6 to 6.5. And looking at the growth, at what levels are we comfortable with debt-to-equity?

Daljeet Singh Khatri: Presently, my debt-to-equity ratio as at the end of December 31, 2025 is 7.28x, right? But we are in -- and we understand we are continuously monitoring it that this is going up. But as such, being NBFC, there is no upper cap on my debt-to-equity ratio, except that in case of external commercial borrowings, there is a cap of 10:1.

But we are already on the job, and we will -- shortly, we will be coming out with the instruments to improve our debt-to-equity ratio. Primarily, we are going to focus on coming out with the perpetual debt instruments, which qualify as Tier 1 capital. And then we'll think about other options which are available to us. And we plan to bring it back to less than 6 in the next 2, 3 months.

Sanjay Kulshrestha: So just to add, since there is a growing demand in the market, and we also want to grow. So, definitely, you are right, there is a pressure on debt-to-equity, but there are measures to attend. There are slightly costly measures. So that's why we had not yet decided. We will decide regarding that measure and the call will be taken at the right time.

And we are aware that it is around plus 7, and we have to be -- remain at around 7. But if you see -- you have to see on the yearly basis. So please wait till our results are out for the '25-'26. And you will see that the figures are slightly improved. And at the same time, we will take a call on improvement as Director of Finance has said, to review -- to revisit this through the p

erpetual

loans or something else.

Nemin Doshi: Perfect. Got it. Secondly, sir, if I look at your overall loan book, your PMAY -- any updates on PMAY 2.0? And how are we focused on growing this housing pie and any talks or MOUs with the states on this front?

Daljeet Singh Khatri: So, PMAY 2.0, a little slow, it started up. I think gradually, we are picking up. Most of the states have started doing an assessment. This time, what they are planning is that a very structured way they are going it. They're making an assessment, then coming out scheme by scheme. So, a majority of the states in the Northern sector has already started up in a way. Maybe I think next financial year, it will pick up in a big way.

Nemin Doshi: Got it. And lastly, sir, what do you -- in your sense, what could be your potential competitor in this space because the kind of growth and the kind of contract that we are witnessing coming

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from states, is there a thing that government would come up or there would be another organization who would -- there would be a duopoly or players coming up in this space?

Sanjay Kulshrestha: See, there are already organizations and institutions starting from the banks to NaBFID, NABARD, to some extent, REC and PFC. So, I think institutions are already there working with the urban infrastructure segment. But if you see the demand is too much. We need the multilateral loans, we need the investors, we need the FDI.

So, if you see as per the high-level committee report, the urban investment to the tune of around INR80 lakh crores is required between '21 to '36. It amounts to around INR7 lakh crores to INR8 lakh crores on annual basis.

Presently, we are doing only INR2 crores, INR2.5 crores yearly. So, there is a long jump that we need to do. And all these institutions are geared up to support this. And that's why this Urban Challenge Fund or a lot of new activities like issuance of the bonds to attract the investors. All these activities have been started by the Government of India.

Nemin Doshi: Got it, sir. Just a follow-up on this. What would be our right-to-win considering the competition, like we said, there is PFC. REC also coming up with the merger soon. So, I mean, just to understand our right-to-win in this space in urban infra development space?

Sanjay Kulshrestha: So, REC PFC are a big organization, and they are primarily working towards the power and energy. And if you see the requirement in power, energy, distribution, transmission, renewable,

energy transition, hydrogen, it is enormously high, enormously high. And these institutions are catering to that kind of demand. And at the same time, they are supplementing our efforts in some way. So, maybe 10%, 15% or 30%, whatever they can take, they are taking, but they are not taking 100%. The requirement is of 100%.

So, that's why I will start from my last answer only. That's where the NaBFID is required, NaBFID is created, NABARD is required, HUDCO is required, IIFCL is required. So I think all these institutions have their own roles and responsibility.

And since we are an institution of strategic importance working under MoHUA, who is actually taking care of the urban infrastructure, knowing the policies of the government of India from, say, Urban Challenge Fund or metro or water or waste or sewerage. So, all these things are the domain of HUDCO. So, their domain is energy, our domain is urban infrastructure.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for the closing comments.

Sanjay Kulshrestha: Thank you so much. It was very good answering the questions from the fraternity. And we have taken note of the concerns, and we had answered and I'm sure that you will be satisfied with the answers. And if there is any follow-up information required and then Mr. Acha

I Gupta and his
team will be there to support you.
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We are open for all the market information from time to time. And I hope we will be meeting very soon. At the same time, whatever guidance we give to the market, we adhere to that guidance. So, we don't want that we will be overachieving or underachieving.

So whatever we have chance, we come out to the market in a very transparent and very clear terms, whether it is forex losses, whether it is cost of funds, whether it is loan book, whether it is different kind of infrastructure that we are doing or whatever works we are doing, and I think on a week-to-week basis, we have a very close kind of interactions through the media, through electronic media or through interviews.

So please stay connected with HUDCO. And I can assure you that the growth path that we are continuing, it will be continued for the year. And thank you so much for having interest in the HUDCO. Thank you so much.

Moderator: Thank you very much. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines. Thank you very much, everyone.
